

COUNCIL WORK SESSION MINUTES

**June 22, 2026 – 4:00 p.m.
4th Floor Conference Room - City Hall**

A Council work session was held to discuss the following items:

1. Bartlett Center Agreement
2. Civic Arena HVAC
3. General discussion concerning items on the City Council regular meeting agenda

Attending: Mayor Larry Miller and Councilmembers Collin Clibon, Madison Davis, Jason Eslinger, Russell Moore, Marty Novak, Randy Schultz, Andy Trout and Gary Wilkinson.

Mike Schumacher, City Manager; Josh Emberton and Jason Soper, City Attorneys; Paul Luster, Police Chief; Ivan Klippenstein, Fire Chief; Debra Bradley, Health Director; Josh Royle, Technology Services Director; Jeff Atkins, Parks & Recreation Director; Mary Robertson, Civic Facilities Director; Dale Reuter, Planning & Community Development Director; Laurie Thompson, General Services Director; Kaycee Garton, City Clerk; Jason Strong, Deputy Police Chief; Jende Smith, Deputy Director of Recreation; Phillip Leimbach, Chief Project Manager; Rich Karleskint, Controller; Jessica Kozol, Communications & Community Engagement Manager; Ed Schilling, Multimedia Planner; Latisha Little, Deputy City Clerk; Jacy Brooks, Executive Admin. Assistant; Tyson Lucas, Civic Facilities Manager; Mary Kay Griffin, Community Development Manager; Brendan McGinnis, Detective; Brad Kerns, Police Captain; Stephaine Insell, Police Sergeant; Juniper Brown, Historic Preservationist; and Heidi Eggers, Business Liaison.

Mayor Larry Miller called the meeting to order at 4:00 p.m.

1. City Manager Mike Schumacher provided Council with the current lease agreement and a financial report for the Bartlett Center dating back to 2021. Councilmember Clibon initiated the discussion regarding the Bartlett Center and distributed handouts, including a letter from the Bartlett Center titled, "Request for One-Year Rent Relief for the Bartlett Center." Councilmember Davis wanted it to be noted that Council has been asking for the records being given at this meeting for an extended period of time and never received them until now. Councilmember Clibon explained that the audit is included along with information on the financial state of the Bartlett Center. He explained that they rely a lot on State funding, which they've had trouble securing recently. He thinks rent relief would be a reasonable investment in an adverse community. Discussion followed regarding the letter not previously being provided to all of Council, only select members.

Councilmember Davis expressed his concerns regarding the financial situation at the Bartlett Center. He said this Council and previous Council have all had numerous issues trying to get financial information from the Bartlett Center. He said we continue to have discussions about the Center not having money to operate. He doesn't believe that they are fully doing what they should be doing when it comes to serving the community. He noted that the City has spent \$800,000 on the Bartlett Center alone since 2021. Davis

mentioned other agencies that could greatly benefit from the services that the City provides for the Bartlett Center. He stated giving rent free for a year is not going to solve their financial issues.

Councilmember Novak stated he is not comfortable with rent relief for similar reasons that Davis mentioned. Councilmember Wilkinson mentioned that he believes the need is there. He said if an audit has been requested and not received, he too would have some concerns. He mentioned that he was one of the Councilmembers that did not receive the letter. Councilmember Clibon pulled up his email and said the members who received the letter was Mayor Miller, Councilmembers Trout, Moore, Schultz, Wilkinson, and the Bartlett Center Board.

Councilmember Wilkinson asked Clibon how one year of rent relief would help solve the problem. Clibon said it provides them with breathing room to pursue more fundraising opportunities. Clibon said they need around \$45,000 to fill the gap. Councilmember Schultz mentioned what their expenses are and what the City provides. Their expenses being salaries, food and rent which is \$2,806.88. Councilmember Davis mentioned the handout that Schumacher provided. He said it lists all the dates that rent was due and paperwork that was required. He said it shows exactly what we've asked for and that we are not always provided with the things we've asked. Councilmember Schultz mentioned all of the City's currently leased properties. He said if we can't do a rent reduction or relief for all, we should be doing it for one. Councilmember Novak agreed. He said he cannot support a rent reduction. Novak asked if rent is current, Schumacher said they owe for June. Wilkinson said he could support the relief if we had complete accounting of what has gone on previously.

Clibon mentioned that he appreciates Council letting him speak about this request. He said his goal is to just get them put on stable financial footing, but he hears Council's concerns and understands them. LaTonya Williams, Executive Director of the Bartlett Center, mentioned that she would be willing to provide any information requested of her. Councilmember Eslinger asked about the annual report that's required as part of their lease. She said she wasn't aware of that requirement because it wasn't in the old lease. The new lease was in effect in the Fall of 2024.

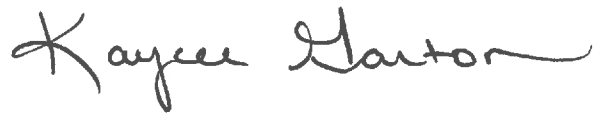
Council agreed that they would not be making a decision on rent relief at this meeting.

2. Schumacher said the City has been forced into making some decisions regarding HVAC at the Civic Arena. He said we are over 2 million dollars short on addressing the needs. He pulled the trigger on portable cooling units which will cost \$5,000/month while they are used throughout the Summer. He has asked staff to move forward with repairing a compressor that's out on a 2015 unit. That leaves 4 units on the roof that do not work. He said while our customers are in there, being hot, he felt like we needed to make some decisions and get things going so Council will soon see items on the agenda and invoices for those items. Schumacher said while he still hasn't found a solution for it, the lack of ongoing maintenance on HVAC units continues to be an issue. He also noted that the steps taken to solve the issue for now will not solve the issue long term.

3. Schumacher mentioned that the last item on today's agenda is the general discussion concerning items on the City Council regular meeting agenda. He said the intention here is that we can go around the table and see if anyone has any questions, concerns or comments regarding items on that meeting's agenda. This is not intended to drill down on any particular topic.

Clibon mentioned an email he sent to Council regarding an amendment to the proposed code amendment regarding "Unauthorized Relocation of Transient and Unhoused Individuals." He mentioned that he had just a few changes he was interested in making before passage. He said he spoke with Rachael Bittiker with Community Missions. Eslinger mentioned that he didn't want it any more narrowly tailored than they already spoke about. He said he had assistance with an amendment from Legal regarding the bus issue previously spoken about. Moore said he would not be voting for the homeless because he thinks it's targeting the homeless population. Wilkinson said he initially had the same view but since reading it, he realizes that there's no penalty for the homeless individual themselves. He doesn't believe it will have much effect if it is adopted.

The meeting adjourned at 4:42 p.m.

A handwritten signature in black ink that reads "Kaycee Garton". The signature is written in a cursive, flowing style.

Minutes transcribed by Kaycee Garton, City Clerk

BARTLETT CENTER REPORT

Expenses

	2026	2025	2024	2023	2022	2021
Spire	\$ 29,280.00	\$ 28,075.27	\$ 39,432.01	\$ 42,721.54	\$ 30,026.17	\$ 19,726.54
Evergy	\$ 21,880.00	\$ 15,824.00	\$ 16,957.01	\$ 17,726.27	\$ 14,142.15	\$ 10,523.95
Internet	\$ 3,060.00	\$ 3,058.68	\$ 3,058.68	\$ 2,658.48	\$ 2,297.81	\$ 1,364.35
Water	\$ 4,080.00	\$ 4,014.00	\$ 3,912.00	\$ 3,265.00	\$ 2,000.00	\$ 2,000.00
Insurance	\$ 9,900.00	\$ 9,900.00	\$ 9,900.00	\$ 9,900.00	\$ 9,900.00	\$ 9,900.00
Utilities Total	\$ 68,200.00	\$ 60,871.95	\$ 73,259.70	\$ 76,271.29	\$ 58,366.13	\$ 43,514.84
Vinyl Floor Covering	\$ 12,000.00	\$ -	\$ -	\$ -	\$ -	\$ -
Floor Machine	\$ 10,000.00	\$ -	\$ -	\$ -	\$ -	\$ -
Building Maintenance	\$ 13,662.00	\$ 13,662.00	\$ 10,456.00	\$ 14,548.00	\$ 8,955.00	\$ 10,000.00
Restroom Renovations, Roof						
Repair, Painting Gym, Gym Floor	\$ -	\$ 39,844.00	\$ 3,836.00	\$ 7,722.00	\$ 993,098.00	\$ 241,672.00
HVAC	\$ 1,200,000.00	\$ -	\$ -	\$ -	\$ -	\$ -
Maint/Capital Total	\$ 1,235,662.00	\$ 53,506.00	\$ 14,292.00	\$ 22,270.00	\$ 1,002,053.00	\$ 251,672.00
CDBG	\$ 18,869.00	\$ 21,850.00	\$ 21,850.00	\$ 21,850.00	\$ 23,000.00	\$ 23,000.00
ARPA	\$ -	\$ 37,779.00	\$ 23,493.00	\$ 38,726.00	\$ -	\$ -
Special Allocations Total	\$ 18,869.00	\$ 59,629.00	\$ 45,343.00	\$ 60,576.00	\$ 23,000.00	\$ 23,000.00

Revenues

	2026	2025	2024	2023	2022	2021
Lease	\$ 33,683.00	\$ 32,543.00	\$ 31,443.00	\$ 31,443.00	\$ 31,443.00	\$ 31,443.00
Only Utilities/Insurance	\$ (34,517.00)	\$ (28,328.95)	\$ (41,816.70)	\$ (44,828.29)	\$ (26,923.13)	\$ (12,071.84)
Net Rv-Ex Total	\$ (1,289,048.00)	\$ (141,463.95)	\$ (101,451.70)	\$ (127,674.29)	\$ (1,051,976.13)	\$ (286,743.84)

Lease Payment History FY26

0234259	7/1/2025	2,806.88	\$ 2,806.88
	7/3/2025		(2,806.88) \$ -
0235226	8/1/2025	2,806.88	\$ 2,806.88
	9/30/2025		(2,806.88) \$ -
0236039	9/1/2025	2,806.88	\$ 2,806.88
0236982	10/1/2025	2,806.88	\$ 5,613.76
0238391	11/1/2025	2,806.88	\$ 8,420.64
0239712	12/1/2025	2,806.88	\$ 11,227.52
0240977	1/1/2026	2,806.88	\$ 14,034.40
			\$ 14,034.40

The 8/1/25 payment was paid late on 09/30/25. **No pentalties applied.

September - Current outstanding.

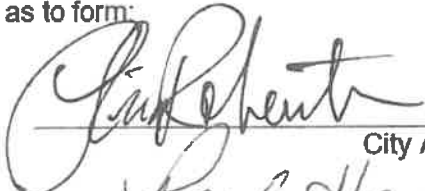
BILL # 1088-22

AN ORDINANCE TERMINATING A LEASE AGREEMENT ENTERED INTO WITH THE BARTLETT CENTER VIA SPECIAL ORDINANCE NUMBER 10354 ON OR ABOUT SEPTEMBER 5, 2023 AND AUTHORIZING THE EXECUTION OF A NEW LEASE AGREEMENT WITH THE BARTLETT CENTER TO UTILIZE SPACE IN THE HORACE MANN COMMUNITY CENTER FOR CONDUCTING PROGRAMS TO BENEFIT LOW TO MODERATE INCOME RESIDENTS IN THE AREA THROUGH JUNE 30, 2028.

BE IT ORDAINED BY THE COUNCIL OF THE CITY OF ST. JOSEPH, MISSOURI, AS FOLLOWS:

- SECTION 1.** That the City and the Bartlett Center hereby mutually agree to terminate the Lease Agreement entered into via Special Ordinance Number 10354 on or about September 5, 2023.
- SECTION 2.** That the Lease Agreement by and between the City of St. Joseph, Missouri, and the Bartlett Center to utilize space for conducting programs to benefit low to moderate-income residents in the area be, and hereby is, approved and that a true and accurate copy of said Agreement is attached hereto and incorporated herein by reference as though fully set out herein.
- SECTION 3.** That the City Manager or his designee be, and hereby is, authorized to execute said Lease Agreement with the Bartlett Center, in substantially the form as that attached hereto, by and on behalf of the City of St. Joseph, Missouri, and is further authorized to sign all necessary documents, amendments, and addenda thereto which may subsequently be required to effectuate the purpose and intent of this Agreement.
- SECTION 4.** That the Finance Director be, and hereby is, authorized to deposit the monthly lease fee into the Park Maintenance Fund, Account Number 3090-3280 (Horace Mann Lease).
- SECTION 5.** That this ordinance be, and hereby is, effective upon passage

Approved as to form:

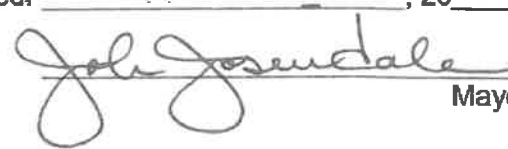


City Attorney

Attest: 

City Clerk

Passed: December 9, 20 24



Mayor

Date: November 25, 2024
Amount: \$32,543.51 + 3.5% yearly
Account Number: 3090-3280

EXPLANATION TO COUNCIL BILL

ORIGINATING DEPARTMENT: Parks, Recreation & Civic Facilities

PURPOSE: To terminate a lease agreement entered into via Special Ordinance 10354 and to authorize execution of a new lease agreement with the Bartlett Center to lease the Horace Mann Community Center through June 30, 2028.

REMARKS: The City of St. Joseph agrees to lease the Horace Mann Community Center to the Bartlett Center, excluding Rooms 8, 9, 10, and 11. This lease will extend through June 30, 2028. Included in this lease agreement is use of the concession stand/restroom building across the street in John Lucas Park. The primary changes in the new lease agreement are related to the Bartlett Center leasing the Horace Mann Community Center to outside third parties and includes requirements related to reporting and obtaining prior authorization from the City in certain circumstances, as well as the Bartlett Center accepting oversight responsibility for outside third-party rentals.

The term of this Lease will begin on August 1, 2024, and expire on June 30, 2028. The Lease payments will increase each year on July 1 of each year by 3.5%.

Beginning July 1, 2024, the lease payments are as follows:

August 1, 2024, through June 30, 2025 - \$32,543.51/year or \$2,711.96/month

July 1, 2025, through June 30, 2026 - \$33,682.53/year or \$2,806.88/month

July 1, 2026, through June 30, 2027 - \$34,861.42/year or \$2,905.12/month

July 1, 2027, through June 30, 2028 - \$36,081.57/year or \$3,006.80/month

The agreement reflects the following action items in the City's strategic plan:

1. **Ensure Fiscal Responsibility:** Increase program fees where necessary on a regular basis with market information taken into consideration.
2. **Build Community Connections:** Build and maintain connections with community partners.
3. **Improve Access to Public Safety & Services:** Work to provide safe places for people to recreate and play competitive sports.

THIS ORDINANCE HAS BEEN CERTIFIED THAT THE FOREGOING CONTRACT OR ORDER IS WITHIN THE PURPOSE OF THE APPROPRIATION TO WHICH IT IS TO BE CHARGED, AND THAT THERE IS AN UNENCUMBERED BALANCE TO THE CREDIT OF SUCH APPROPRIATION SUFFICIENT TO PAY THEREFORE.

LEASE AGREEMENT

This Lease Agreement is hereby made and entered into as of the date affixed on the signature page between the Bartlett Center, 409 S. 18th Street, St. Joseph, Missouri, hereinafter referred to as the Lessee, and the City of St. Joseph, Missouri, a Municipal Corporation, hereinafter referred to as the City.

WHEREAS, the City is the owner of a certain building and real estate, commonly referred to as the "Horace Mann Community Center," located at 409 S. 18th Street, St. Joseph, Missouri, and more specifically described as follows:

LOTS 1, 2, 3, and 4 and West 100 feet of LOTS 5 and 6, and all of LOTS 7 and 8, all as originally platted, in BLOCK 32, in Harris Addition, an addition to the City of St. Joseph, Missouri.

WHEREAS, the City wishes to lease a portion of the above-referenced property to the Lessee pursuant to the terms and conditions set forth more specifically below.

NOW THEREFORE, in consideration of the mutual covenants hereinafter set forth, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the City and the Lessee hereby agree as follows:

1. **Leased Premises.** The City hereby agrees to lease the Horace Mann Community Center to the Lessee, *excluding* Rooms 8, 9, 10, and 11. The remaining areas located within the above-referenced property, exclusive of Rooms 8, 9, 10, and 11, shall be hereinafter referred to as the "Leased Premises." The "Leased Premises" shall also include the use of the concession stand/restroom building across the street in John Lucas Park.

2. **Use.** The Leased Premises shall be used by the Lessee to provide a family resource program to low-to-moderate income households of St. Joseph, Missouri, which consists of the following services:

(a) Child Care – State licensed child-care that includes daycare, preschool, and pre-K to low- and moderate-income households.

(b) Youth Program – Activities for school aged children that includes afterschool activities as well as programs for spring and summer breaks. Homework assistance, tutoring, and physical fitness activities are part of this program.

(c) Fundraising Efforts – Activities conducted by the Lessee to support fundraising for the Lessee's operations, provided such activities (i) have been approved by the Lessee's Board of Directors (and such approval is reflected in the Board's meeting minutes) and (ii) do not substantially increase the cost of utility service for the Leased Premises. Such efforts may include activities other than rentals described in paragraph 3.

(d) Community Outreach – Activities conducted by the Lessee that are open to community members and support community engagement. Such activities are designed to learn more about the needs of community members and work in collaboration to address those needs.

No other services shall be provided without the prior written consent and approval of the City through the Director of Parks, Recreation & Civic Facilities. In addition, no part of the Leased Premises shall be used to engage in private business activities, nor shall the address of the Horace Mann Community Center be used by any individual or entity other than the Bartlett Center for the purpose of obtaining a business license.

3. Outside Rentals.

(a) Rental Agreement Required. The Lessee may rent only the gymnasium, kitchen, and conference room located within the Leased Premises to third-party individuals or entities provided the rental benefits low-to-moderate income residents and is documented in a written rental agreement, in a form approved by the City, which contains:

- (i) the name of the third-party individual or entity; and
- (ii) the proposed use; and
- (iii) the date(s)/time(s) or term; and
- (iv) the amount of rent to be charged, if any.

A member of the Lessee's staff shall be present during the time frame within which the Leased Premises is rented, which shall include any associated preparation and/or clean up. At the conclusion of the rental period, the staff member shall check the condition of the areas rented, including bathrooms. If the kitchen area was rented, the staff member shall check to ensure that the stove top and/or oven, if used, has been turned off and that any appliances have been unplugged, as necessary.

No other portion of the Leased Premises may be rented or subleased without approval of the City Council of the City by motion, resolution, or ordinance, unless otherwise stated in this Agreement.

(b) Uncompensated Third-Party Use. If a rental agreement reflects that the individual or entity renting a particular area within the Leased Premises will not be required by the Lessee to pay a corresponding rental fee, the Lessee shall provide the Director of Parks, Recreation & Civic Facilities with a detailed explanation at the end of each month outlining the reason(s) for this decision due to the fact that utility costs are not included as part of the Lessee's financial responsibility under Section 5 of this Lease Agreement and are, thus, borne by the City. This written explanation shall accompany the corresponding rental agreement.

(c) Rental Agreements to be provided to City. The Lessee shall provide a copy of each rental agreement to the City's Director of Parks, Recreation & Civic Facilities at least thirty (30) days prior to any event that may (i) exceed one hundred (100) attendees

and/or (ii) require preparation efforts from the City. The Lessee shall provide copies of all other rental agreements at the end of each month as part of a Rental Report.

(d) Quarterly Rental Report. The Lessee shall provide a quarterly report that includes copies of all rental agreements entered into, as well as an accounting of all rental fees assessed, during the previous quarter to the City's Director of Finance on or before the 15th day of each March, June, September, and December.

(e) Filing Annual Report. On or before July 15th of each year, the Lessee shall prepare an annual report for the City Council, containing the information outlined in subsection (a)(i) through (v) and subsection (b) of this Section. This report shall be submitted to the City Clerk's Office.

(f) Termination. The City retains the right to terminate use of all portions of the Leased Premises for outside use under this section based upon the utility costs incurred by the City as a result of such use.

4. Term. The term of this Lease Agreement shall be July 1, 2024, through June 30, 2028.

5. Lease Amount. The Lessee agrees to pay the City the annual rent payments set out below, which do not include utility costs:

August 1, 2024 through June 30, 2025:	\$32,543.51/year	\$2,711.96/month
July 1, 2025 through June 30, 2026:	\$33,682.53/year	\$2,806.28/month
July 1, 2026 through June 30, 2027:	\$34,681.42/year	\$2,905.12/month
July 1, 2027 through June 30, 2028:	\$36,081.57/year	\$3,006.80/month

6. Lease Payments. The first payment shall be made on or before the first day of July, 2024, and each successive payment shall be made on or before the first day of each successive month thereafter, until the expiration of this Lease Agreement, including any renewals or extensions thereof. All payments shall be made to the Director of Finance, Room 106 City Hall, 1100 Frederick Avenue, St. Joseph, Missouri, 64501, or to such other individual entity at such other address as may be specified by the City at a later date. The City reserves the right to impose a Ten Percent (10%) penalty fee in the event any lease payment due is not received by the tenth of each month. The Lessee's covenant to pay rent is, and shall be, independent of each and every other covenant of this Lease Agreement. The Lessee agrees that any claim made by the Lessee against the City shall not be deducted from rent, or set off against any claim for rent, in any action.

7. Utility Payments.

(a) The City, at its cost and expense, shall provide the Leased Premises with the following utility services; but shall not be responsible for any delays, failures, or accidents that may affect said service:

- (i) Reasonable heat in compliance with state licensing requirements applicable to childcare facilities.
- (ii) Electric power, as available through regularly installed fixtures and/or appliances.
- (iii) Water, as available through regularly installed fixtures and/or appliances, for food preparation, drinking, and toilets.

(b) The Lessee shall be responsible for the installation of, and payment for, monthly bills associated with telephone, cable services, and internet service used by the Lessee at the Horace Mann Community Center. The Lessee shall make internet or telephone service it has procured available to the City for the purpose of operating mechanical and other systems that are under the City's control.

8. Maintenance, Repair, and Replacement.

(a) The Lessee shall be responsible for all routine maintenance and minor repairs, as well as all janitorial services required in order to maintain the Leased Premises in a safe, decent, and sanitary condition, including, but not limited to, the first-floor restrooms, hallways, and common areas within the Horace Mann Community Center, the concession stand/restroom structure in John Lucas Park, and any projects created or initiated by the Lessee (such as a community garden). Examples of routine maintenance and minor repair include, but are not limited to, changing light bulbs, unclogging toilets, and ensuring compliance with property maintenance standards for any projects created or initiated by the Lessee.

(b) The City shall have no obligation to engage in routine maintenance or minor repair work. Any major repairs that may be required shall be evaluated and completed in accordance with corresponding capital improvement program schedules, including, but not limited to, projects funded through CDBG, CIP, and the Park Tax. The Lessee must provide notice to the City of any unbudgeted modifications and/or repairs through the needs assessment referenced in Section 9 below.

9. Annual Needs Assessment – Major Repairs. The Lessee shall provide the City's Director of Parks, Recreation & Civic Facilities, with a needs assessment as it pertains to major improvements and repairs needed to the Leased Premises. This needs assessment shall be provided to the City on or before December 15th during each year of the lease term that begins the following July; such advanced notice will better enable the City to include funding for capital needs in the City's annual budgeting process.

10. **Condition of Premises.** The Lessee acknowledges that the Leased Premises are in acceptable structural and mechanical condition and agrees to accept the City's judgment as to what constitutes acceptable fair wear and tear arising from the Lessee's programs and activities. The Lessee shall use, care for, and maintain the Leased Premises in accord with Paragraph 10 below, and any other applicable provisions of this Lease Agreement.

11. **Care of Premises.** The Lessee shall not injure, mar, or in any manner deface the Leased Premises and shall not cause or permit anything to be in any manner be injured, marred, or defaced; and will not drive or permit to be driven nails, hooks, tacks, or screws into any part of said building or equipment, and will not make or allow to be made any alterations of any kind therein. The Lessee agrees that no bills, signs, or other articles shall be posted, nailed, or otherwise attached to any part of the interior of said building in any such manner as to injure, mar, deface or destroy the same; nor shall any bills, signs, or other articles be in any manner attached to the exterior walls or windows of the Leased Premises, or any portion of the same, without the prior written consent and approval of the City.

12. **Alterations made by Lessee; Fixtures.** No alterations or improvements shall be made by the Lessee to the Leased Premises without first having received the prior written consent and approval of the City. Any alterations or improvements authorized by the City and made to the Leased Premises for the benefit of the Lessee shall be made at the Lessee's sole cost and expense. Unless otherwise stated in a separate written agreement between the Lessee and the City, any alterations or improvements considered trade fixtures shall be removed from the Leased Premises prior to the end of the leased term and the Leased Premises shall be restored by the Lessee to its original condition. Any such trade fixtures that are not removed from the Leased Premises prior to the end of the lease term shall be considered fixtures of the real estate and, thus, may be retained by the City.

13. **Insurance.**

(a) The Lessee shall maintain Commercial General Liability insurance with minimum limits of One Million Dollars (\$1,000,000.00) per occurrence and Two Million Dollars (\$2,000,000.00) general aggregate for bodily injury and property damage. Such insurance shall be written to specifically cover the Lessee's rental of the Horace Mann Community Center to third-party individuals or entities, as described in Section 3 of this Agreement.

(b) The City reserves the right to approve the insurance carrier issuing said policy of insurance. To the extent required by law, the Lessee agrees to provide Workers' Compensation and Employer's Liability insurance.

(c) The Lessee shall not suffer any article to be brought into, or act done on or in, the Leased Premises that might in any way vitiate or increase the premiums on the policy or policies of insurance held by the City on the Horace Mann Community Center, of which the Leased Premises is a part.

(d) The Lessee shall furnish a Certificate of Insurance to the City's Risk Manager, prior to the commencement of the Lease term, evidencing its compliance with the insurance requirements enumerated herein. The City shall be named as an additional insured on the Certificate of Insurance.

(e) Nothing herein shall be deemed to permit a cause of action against the City for damages or be deemed a waiver of the City's sovereign immunity relative to any claim against the City.

14. Indemnification. The Lessee hereby agrees to indemnify, defend, and save harmless the City, its officers, agents, and employees, from and against any and all loss of, or damage to, property or injuries to, or death of, any person or persons, including its officers, agents, and employees, from any and all claims, damages, suits, costs, expense, liability, actions, or proceedings of any kind or nature whatsoever, in any way result from, or arising out of, directly or indirectly, the Lessee's operations in connection herewith, or its use or occupancy of any portion of the Leased Premises herein described, including acts of commission or omission of employees, representatives, or agents of the Lessee; but this indemnification shall not apply to occurrences that are due to the sole negligence of the City, its agents, or employees.

15. Damage or Injury to Property. The City and its employees, servants, and agents shall not be responsible for any damage or injury that may happen to the property of the Lessee, or of the Lessee's agents, servants, employees, program participants and/or guests, or for any damage or injury that may happen to property that may belong to any other person; including loss from theft, fire, or any other circumstances arising from the Lessee's programs and activities, except any damage or injury that is due to the sole negligence of the City, its agents, or employees.

16. Payment of Taxes and Fees. The Lessee agrees to promptly pay all lawful general taxes, special assessments, excises, license fees, and permit fees, of whatever nature, which may be applicable to the Lessee, and to obtain and keep current all licenses, whether municipal, state, or federal, required for conducting its operation and programs. The Lessee further covenants and agrees not to permit any of said taxes, assessments, excises, fees, or charges to become delinquent.

17. Compliance.

(a) The Lessee shall abide by, comply, and confirm with all laws, rules, and regulations adopted or established by any federal, state, or local governmental body or agency and the Lessee will require its agents and employees to likewise comply.

(b) The Lessee shall comply with any rule or regulation that may from time to time be adopted or prescribed by the City related to the government, use, and management of the Horace Mann Community Center.

(c) The Lessee agrees and understands that the Lessee is responsible for the conduct of those working within the Leased Premises, as well as those entering the Horace Mann Community Center as patrons, and will not permit any violation of law in or upon the Leased Premises. The Lessee further agrees and understands that consumption by its

patrons of any alcoholic beverage whatsoever on the Leased Premises, or elsewhere within the Horace Mann Community Center, will not be permitted under any circumstances.

18. Access to Premises by City. The Lessee shall provide the City with free access to the Leased Premises at all reasonable hours for the purpose of examining or exhibiting the same, or to make any repairs the City may deem necessary for the benefit of the Horace Mann Community Center, which includes the Leased Premises.

19. Security of Premises. The Lessee shall unlock and re-secure the Leased Premises during the Lessee's normal hours of operation, and/or in connection with any of the Lessee's programs and/or activities that might extend beyond the Lessee's normal operating hours.

20. Termination.

(a) Either party may terminate this Lease Agreement upon providing the other party with ninety (90) days advance written notice.

(b) The Lease Agreement may be terminated immediately by the City for cause if the Lessee fails to obtain prior written permission from the City, where specifically set forth in this Agreement, or remedy a material deficiency in the performance of its obligations pursuant to the terms and conditions of this Lease Agreement within five (5) calendar days after receipt of written notification of such deficiency from the City.

(c) If the Leased Premises is rendered untenable during the term of the Lease Agreement by fire or other casualty, the City may, at its option, either terminate the Lease Agreement or repair the Leased Premises within thirty (30) business days thereafter. If the City has not repaired the Leased Premises within, and prior to the expiration of, said period of time, then the term hereby created shall terminate. If this Lease Agreement is terminated by fire or casualty as herein specified, rent shall be apportioned and paid up to the day of such fire or other casualty.

21. Renewal. The City and the Lessee agree to begin negotiating the renewal of this Lease Agreement one (1) year prior to its expiration in order to ensure continuity and stability.

22. Miscellaneous Provisions.

(a) Acknowledgment. The parties to this Agreement declare that the terms of this Agreement have been completely read and are fully understood and voluntarily accepted.

(b) Amendments. No amendments may be made to this Agreement except as may be mutually agreed upon, in writing, by the parties.

(c) Assignment. The Lessee shall not assign this Agreement, suffer any use of the Leased Premises other than that herein specified, or let or sublet the same, without the prior express written consent and approval of the City.

(d) No Waiver. Waiver of any provisions of this Agreement or any breach of this Agreement shall not thereafter be deemed to be a consent by the waiving party to any further waiver, modification, or breach by the other party, whether new or continuing, of the same or any other covenant, condition, or provision of this Agreement. Failure by one of the parties to this Agreement to assert its rights for any breach of this Agreement shall not be deemed a waiver of such rights.

(e) Counterparts. This Agreement may be executed in one or more counterparts each of which shall be deemed an original and all of which shall constitute one and the same Agreement.

(f) Entire Agreement. This Agreement contains the entire agreement between the Parties hereto and the terms of this Agreement are contractual and not a mere recital. The terms and conditions of this Agreement shall supersede all other lease agreements, including any addendums or amendments thereto, between the City and the Lessee. Such other lease agreements, including any addendums or amendments, shall be considered null and void upon the full execution of this Agreement.

(g) Governing Law. This Agreement shall be governed by and construed and interpreted in accordance with the laws of the State of Missouri, without regard to its principles of conflict of law. Each party irrevocably agrees that any legal action, suit, or proceeding arising out of or in connection with this Agreement, or other agreement between the parties, or disputes relating thereto, shall be brought in a court of competent jurisdiction located in St. Joseph, Buchanan County, Missouri.

(h) Notices. All notices required or permitted by this Agreement shall be deemed given when either (i) delivered to the opposite party at the address below, or (ii) deposited in the United States mail, postage prepaid and certified, addressed to the opposite party at the address below:

To the City: City of St. Joseph
 c/o Parks, Recreation & Civic Facilities Director
 1920 Grand Avenue
 St. Joseph, Missouri 64505

To the Lessee: Bartlett Center
 Attn: Executive Director
 Horace Mann Community Center
 409 S. 18th Street
 St. Joseph, Missouri 64501

(i) Severance. The invalidity, in whole or in part, of any provision of this Agreement shall not affect the validity of any other provision of this Agreement.

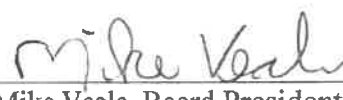
23. Termination of Prior Agreement. Upon execution of this Lease Agreement, all further duties and obligations in the Lease Agreement dated September 7, 2023, and executed by the City and the Lessee, shall be deemed terminated and replaced by this Lease Agreement. Any rights or remedies available under the Lease Agreement dated September 7, 2023, for obligations that arose under said agreement shall remain available to the parties.

IN WITNESS WHEREOF, the City and the Lessee have caused this Agreement to be executed, pursuant to due and legal action authorizing the same to be done, on the date first written above.

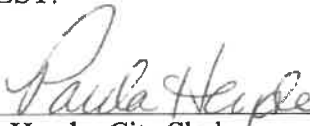
CITY OF ST. JOSEPH, MISSOURI
("LESSOR")


Clint Thompson, Interim City Manager

BARTLETT CENTER
("LESSEE")


Mike Veale, Board President

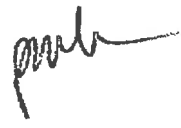
ATTEST:


Paula Heyde, City Clerk

ATTEST:

Board Secretary

MEMORANDUM

TO: Mayor and Council
FROM: Paula Heyde, CMC, City Clerk 
DATE: November 25, 2024
SUBJECT: Bill #1088-40 – Proposed Amendment

Please amend Bill #1088-22 to attach the attached Lease Agreement with the Barlett Center to the ordinance.

cc: Clint Thompson, Interim City Manager
Lisa M. Robertson, City Attorney
Chuck Kempf, Parks, Recreation & Civic Facilities Director



To: Mayor Larry Miller and Members of the St. Joseph City Council
From: LaTonya Williams, Executive Director, Bartlett Center
Date: 5.26.26
Subject: Request for One-Year Rent Relief for the Bartlett Center

On behalf of the Bartlett Center Board of Directors and staff, I am submitting this formal request for a one-year relief from rent payments for our facility. As a long-standing nonprofit serving the heart of Midtown St. Joseph, our organization continues to operate under significant financial constraints due to limited revenue streams and reduced access to grants and external funding opportunities.

While we have worked diligently to sustain operations through fundraising, community partnerships, and program innovation, the current economic landscape has placed an unprecedented strain on our ability to meet basic operational costs, including rent.

Background and Financial Context

The Bartlett Center operates primarily through community donations, modest program fees, and competitive grant funding. However, in recent years, grant availability has sharply declined while program costs and community needs have risen.

Our streams of income remain limited due to several factors:

- Many funding sources have shifted priorities toward larger regional initiatives, leaving small community-based organizations at a disadvantage.
- Inflation has increased operational costs, including utilities, insurance, and program supplies.
- Community contributions, while steady in spirit, have been unable to keep pace with financial demands.

These compounding pressures have made it increasingly difficult to maintain day-to-day operations without immediate financial relief. Without rent assistance, we fear the possibility of closing our doors, a devastating loss for the children and families who rely on us daily.

Our Mission and Impact

Bartlett Center has served the Midtown St. Joseph community for over [insert number] years, providing a safe, nurturing environment for children and families in need. Our mission is to empower youth, strengthen families, and uplift our community through education, enrichment, and social support.

We specifically serve children and families who have experienced extreme trauma, poverty, or instability. Our programs include:

- After-school and summer enrichment programs for at-risk youth
- Early childhood education and care for working families
- Mental health and social-emotional development support
- Family resource referrals, mentorship, and community outreach

For many of our children, the Bartlett Center is more than a program, it's a lifeline. It's where they find safety, stability, and encouragement to believe in their future.

Community Value and Collaboration

Bartlett Center is deeply woven into the fabric of St. Joseph. We collaborate with schools, law enforcement, social service agencies, and local nonprofits to address root causes of trauma and generational poverty.

By keeping our doors open, we:

- Reduce juvenile crime and neighborhood instability
- Support working parents by providing affordable childcare and afterschool programs
- Help children heal, learn, and grow into productive citizens
- Strengthen Midtown as a vital, thriving part of St. Joseph's identity

Our programs directly contribute to the city's goals of community safety, youth development, and economic vitality.

Request for Relief

In light of these circumstances, we respectfully request a one-year relief from rent payments for our facility. This temporary assistance would allow us to:

- Stabilize our finances while pursuing sustainable funding opportunities
- Continue serving hundreds of children and families who depend on our programs
- Prevent the closure of one of St. Joseph's most critical community resources

We view this as a bridge solution, not a long-term dependency, while we work to rebuild our funding capacity through grants, partnerships, and revenue diversification. Bartlett Center remains committed to the city's vision of a strong, safe, and compassionate St. Joseph. We take

pride in being part of that vision, but we cannot fulfill our mission without help. Your support in providing temporary rent relief will not only keep our doors open but will preserve an anchor of hope, safety, and stability for some of the most vulnerable children and families in our community.

Thank you for your consideration and continued partnership. I would welcome the opportunity to discuss this request further and as this is very time-sensitive, at your earliest convenience.

LaTonya Williams

Executive Director, Bartlett Center

816.233.8201 * latonya.williams@bartlettcenter.com * 816.248.2375

Bartlett Center Request for Temporary Rent Relief

Bartlett Center respectfully requests temporary rent relief from the City of St. Joseph while the organization works through significant funding disruptions that have created cash-flow challenges despite continued service delivery to children and families.

Bartlett Center has served the St. Joseph community for decades, providing affordable childcare, preschool, afterschool programming, summer programming, academic support, and family services. The organization remains operational and continues to meet community needs; however, multiple external funding issues have created financial strain beyond the organization's control.

A temporary pause on rent payments would allow Bartlett Center to stabilize operations, maintain services to children and families, preserve jobs, and continue serving as a critical community resource while funding reimbursements and payments are restored.

About Bartlett Center

Bartlett Center is a nonprofit organization serving children and families in St. Joseph, Missouri.

Programs include:

- Infant and toddler childcare
- Preschool and Pre-K programs
- Before- and after-school care
- Summer programming
- School break programming
- Academic enrichment
- Homework assistance
- Social-emotional learning
- Family support services

The center serves working families throughout the community and provides a safe, structured environment for children while parents work or attend school.

Current Financial Challenges

1. State Childcare Subsidy Payment Disruptions

Bartlett Center has experienced ongoing challenges related to Missouri childcare subsidy processing.

Changes within state systems and program administration have resulted in:

- Delayed payments
- Missing child authorizations
- Administrative processing issues
- Difficulty forecasting revenue

These issues have directly affected cash flow despite children continuing to receive services.

Importantly, Bartlett Center continued serving eligible children during these disruptions rather than turning families away.

2. Delayed Government Reimbursements

Bartlett Center has experienced significant delays in reimbursement payments from funding sources.

At various points, reimbursements have been delayed for several months.

Because nonprofit organizations must pay expenses upfront and seek reimbursement later, these delays create substantial financial strain.

The organization must continue paying:

- Employee wages
- Payroll taxes
- Utilities
- Insurance
- Food costs
- Program supplies
- Facility expenses

even when reimbursement payments have not yet been received.

3. United Way Funding Changes

Bartlett Center has also been impacted by changes in United Way funding allocations. Historically, funding levels were more predictable and aligned with program capacity.

Current allocation methods based on attendance create challenges because:

- Staffing costs remain fixed.
- Rent remains fixed.
- Utilities remain fixed.

- Insurance remains fixed.

When attendance fluctuates due to illness, transportation issues, family schedules, or other circumstances, revenue decreases while expenses remain unchanged.

This creates significant instability for organizations operating essential childcare and youth services.

4. Rising Operating Costs

Like many nonprofits, Bartlett Center continues to face increasing costs for:

- Employee wages
- Employee benefits
- Utilities
- Food
- Insurance
- Program supplies
- Facility maintenance

These costs have increased faster than many funding sources.

Why Rent Relief Makes Sense

This Is a Cash-Flow Problem, Not an Operational Failure

Bartlett Center's challenges are largely the result of delayed payments, funding changes, and reimbursement timing—not a lack of demand for services.

The organization continues to:

- Operate programs
- Serve children and families
- Maintain staffing
- Meet community needs
- Pursue grants and additional funding opportunities

Temporary rent relief would provide the organization time to recover from funding disruptions while maintaining services.

Preventing Greater Community Costs

If services were reduced or interrupted, the impact would extend far beyond Bartlett Center.

Families would face:

- Reduced childcare availability
- Loss of afterschool supervision
- Fewer educational support opportunities
- Increased barriers to employment

The cost of replacing these services would likely exceed the value of temporary rent assistance.

Protecting a Long-Term Community Asset

Bartlett Center has served St. Joseph families for generations.

A temporary rent pause would:

- Preserve jobs
- Protect services for children
- Support working families
- Allow time for reimbursement revenues to catch up
- Strengthen long-term organizational stability

This request is not for permanent forgiveness but rather temporary relief during an extraordinary financial period.

Requested Action

Bartlett Center respectfully requests that the City Council approve a temporary pause in rent payments for a defined period while the organization stabilizes its finances and outstanding funding issues are resolved.

This action would provide immediate relief without eliminating the City's long-term revenue stream and would help ensure the continued operation of a vital community resource serving St. Joseph children and families.

Bartlett Center remains committed to serving children and families throughout St. Joseph. The organization has continued operations despite significant funding disruptions and reimbursement delays because community needs remain great.

Temporary rent relief would provide the breathing room necessary to navigate current challenges, preserve critical services, and ensure Bartlett Center can continue serving local families for years to come.

FY 2026/2027 BUDGET NARRATIVE

Revenue Source	Explanation (trends, etc.)
Contributions	Contributions are obtained from miscellaneous donations received from individuals, Charitable Trusts, smaller grants received through the year. To establish an amount, we estimate from previous years and estimate contributions needed for the budget.
In-kind Contributions	Volunteers are considered In-Kind. We do not establish a dollar amount to the volunteers.
Special Events	We have Outreach program for the community and center clients and families. During the year we provide Holiday programs. Fundraisers by each program are special events.
Legacies and Bequests	N/A Included in Contributions as Charitable Trusts.
Contributed- Assoc. Organizations.	Bartlett Center partners with different organizations in the area. Ie: Girl Scouts, Boy Scouts, Youth Alliance, Second Harvest and DESE (SAC) after school, and ARPA.
United Way (local/other)	We are receiving United Way's CY 2026 allocations, at this time.
Fees/Grants—Govt Agencies	N/A
Membership Dues	N/A
Program Service Fees	Bartlett Center is licensed with the State to provide Childcare services from age birth to 5 years. This assists the parents to have childcare while they work. We also provide Youth After School and Summer Programs throughout the year. Fees paid are combination from State payments and parents' portion.
Sales of Materials	N/A
Investment Income	Yearly interest is paid for our Savings Account. No Investments.
Unrealized Gain	N/A
Rental Income	Rental income includes Gym rental for activities by others and income for rent of our community room.
Miscellaneous Revenue	Refunds received.

<u>Expenses</u>	<u>Explanation (what is included, how amount was determined, etc.)</u>
Salaries	We employ average 22, that covers Directors, Bookkeeper, Janitor, Cook, Childcare and Youth workers. Our wages begin at min-wage of \$15.00 hour, with increases to accommodate workers length of service, education and provide a living wage to our employees.
Employee Benefits	Benefits are offered to employees when each employee completes his/her probation period (3 mo). Actual benefits are hours paid for sick days, personal time off (PTO), and after year of service paid Vacation. Benefits are paid as hourly wages.
Payroll Taxes	Payroll taxes are calculated twice monthly when wages are paid. Payroll and Bills are paid the 15 th and 30 th of each month. Our Financial program, SAGE, calculates all payroll, taxes, bills, yearly employee W4's, all completed and paid in-house.
Professional Fees	As a non-profit organization we are required to have a yearly Audit performed at the end of each FY with completion of form 990. We have 3 year agreement with Martin & Hanway CPA's, P.C. to perform our audits.
Supplies	Supplies include both programs supply for Food, paper products, office supplies, all items necessary run each program efficiently. Each program has a budget they follow, costs are reviewed and kept in line with the cost-of-living expense.
Telephone	Phone, FAX, Internet service is purchased via Optimum. We have added extensions for Wi-Fi due to the daily interactions with the State for billing in Youth and Childcare.
Postage	Postage needed for mailing bill payments, correspondence and general operational postage.
Occupancy	Lease agreement with the City of St. Joseph, period 7/1/2025 thru 6/30/2028, \$32,543.52 a year with yearly increases. Lease includes building rent & utilities, with some maintenance. Included in "Occupancy"; trash service, pest control, building supplies and general upkeep of the building.
Rental/Maint.—Equipment	Includes copier/printer contract, Alarm service, equipment maintenance. Maintenance for A/C units washer/dryer, refrigerators, freezers, stoves/ovens, and Computers. All equipment needed to perform duties at the Center.
Printing & Publications	Costs include Web Service and Annual Hosting of Internet Services, provided by TS Conard. Cent fliers and information for programs are basically produced using our copier and paper. Some book etc. are produced by Office Depot.
Travel	N/A
Conferences, etc	Directors Conference and Training – State requirements for the Director's in both programs' attendance is mandatory.
Assistance to Individuals	N/A
Membership Dues	N/A
Awards & Grants	Most smaller awards are noted in Contributions/Trusts.

Interest Expenses	No Loans taken, No interest payments.
Insurance Expense	Insurance expenses are for Building Insurance, (Philadelphia Ins) all liability, volunteers, theft, etc. Insurance yearly to cover the Directors and Officers (Affinity) of the Bartlett Center. Workers Compensation Insurance (Accident Fund) posted in Employee Benefits.
Miscellaneous	Miscellaneous is designated for repairs that we are obligated to pay under \$1000 per our lease. All maybe used for unforeseen costs incurred. Money set aside used as needed.
Payments-Affiliated Organiz.	N/a
Other _____ _____	License/Corp Fees; Expenses yearly City/State license fees.
Other _____ _____	

Bartlett Center Year End 7/25 – 6/2026

Narrative Report February 2026

FY 7/2025 – 6/30/2026

Budget; Revenue \$850,549.00 Expenses \$735,484.03

**** Year to Date Actuals****

Revenue \$380,842.56 Expenses \$426,463.84

NET (-\$45,621.28)

Attached copies of Financial Statement for February 2026 with Income/Expense Summary for February. The banking deposits total \$37,286.62 minus payments of \$58,453.53, ending bank balance \$9,967.69 for February 2026.

February 2026 payments received from the State for CC/YU, were for the months of November & January'26. Youth payments \$10,769.66, Childcare \$12,865.20 The amounts received from the State still continue below the range we should be receiving. Checking our attendance records against the States payments is a never-ending process of paperwork. However, we are still anticipating the State to begin making payments for each authorized child, some day soon.

We received donations from local contributors in the amount of \$7,491.50. Donations were distributed between programs as designated. We continue making payments for Insurances, Taxes, payroll, and miscellaneous bills. Keeping up as much as possible.

The Bartlett Center Audit for FY 7/2024 – 6/2025 was completed. Amy Hanway, Martin & Hanway CPA's, P, C. reviewed the completed Audit with the Board, at February 19, 2026, Board meeting.

Thank you,
Sandy Balboa 
Bartlett Center Bookkeeper

**Attached: Income Reports; General, Youth and Childcare,
Balance Sheet (February), Income/Expense Summary**

CONFIDENTIALITY STATEMENT: This electronic communication is from the Bartlett Center and is confidential, privileged, and intended only for the use of the recipient(s) names above. Unauthorized disclosure, copying, distribution or use of the contents of the transmission is strictly prohibited. If you have received this message in error, please delete it immediately and notify the sender by calling 816-233-8201 or email to Sandy.Balboa@bartlettcenter.com. Thank you

Bartlett Center
Income Statement
Year to Date as of February 28, 2026

	General	Youth	Child Care	Nutrition	Total	Budget
Revenues						
United Way Allocation	\$ 0.00	\$ 9,457.26	\$ 7,737.72	\$ 0.00	\$ 17,194.98	22,560.00
CDBG	0.00	6,918.64	5,660.72	0.00	12,579.36	12,579.36
Misc Trusts & Grants	10,550.00	54,225.00	52,225.00	0.00	117,000.00	80,000.00
SAC After School Grant	0.00	16,434.71	0.00	0.00	16,434.71	46,530.64
Program Fees/ Co-Pay	0.00	3,810.00	4,384.00	0.00	8,194.00	108,920.00
Fundraising	0.00	0.00	0.00	0.00	0.00	6,666.64
Child Care- MOS	0.00	0.00	92,248.36	0.00	92,248.36	124,272.00
Youth-MOS	0.00	79,031.06	0.00	0.00	79,031.06	101,904.00
Contributions	851.84	7,482.16	8,248.80	0.00	16,582.80	16,666.64
MOSAIC Support 2025	0.00	10,000.00	10,000.00	0.00	20,000.00	20,000.00
Investment Income	9.98	0.00	0.00	0.00	9.98	133.36
Pending New Grants	0.00	0.00	0.00	0.00	0.00	13,999.92
Gym Rental	1,400.00	0.00	0.00	0.00	1,400.00	2,333.36
Discounts/Refunds/Misc Rev	167.31	0.00	0.00	0.00	167.31	133.36
Total Revenues	12,979.13	187,358.83	180,504.60	0.00	380,842.56	556,699.28
Expenses						
Salaries--Direct	0.00	59,264.87	136,336.37	0.00	195,601.24	220,000.00
Salary/Executive Director	0.00	18,748.80	22,915.20	0.00	41,664.00	41,666.64
Salary/Program Director	0.00	15,978.58	19,532.35	0.00	35,510.93	32,592.00
Assttnt - Prog Dir	0.00	5,383.97	6,580.42	0.00	11,964.39	28,158.00
Bookkeeper	0.00	7,394.40	9,037.60	0.00	16,432.00	16,007.98
Maintenance Salary	0.00	9,589.55	11,721.35	0.00	21,310.90	23,874.96
FICA	0.00	5,520.87	10,901.20	0.00	16,422.07	16,830.00
Allocated Fica GENERAL	0.00	3,555.01	4,344.90	0.00	7,899.91	10,872.00
State Unemployment Tax GE	0.00	283.42	503.99	0.00	787.41	2,200.00
Alloc. State Unemployment	0.00	56.96	69.69	0.00	126.65	1,421.20
Workers Compensation	0.00	2,673.41	3,267.53	0.00	5,940.94	5,949.36
Refund Crystal AFLAC Account	0.00	0.00	0.00	149.76	149.76	0.00
Building Maintenance	128.00	5,682.84	6,945.60	0.00	12,756.44	12,000.00
Equipment Maintenance	0.00	654.02	799.34	0.00	1,453.36	1,000.00
Computer,Elect, Maintenance	396.98	0.00	0.00	0.00	396.98	1,000.00
Space & Utilities GENERAL	1,403.45	5,613.75	7,017.20	0.00	14,034.40	22,455.04
Building Insurance	0.00	3,379.16	4,130.09	0.00	7,509.25	7,552.00
Interest Expense	0.00	0.00	0.00	0.00	0.00	166.72
Equipment Lease/ Copier G	0.00	1,084.67	1,325.71	0.00	2,410.38	2,066.72
Office Exp./Supplies GENE	0.00	1,313.29	1,507.88	0.00	2,821.17	3,000.00
Licenses/Corp Fees	35.50	0.00	0.00	0.00	35.50	300.00
Postage GENERAL-DirMail	0.00	21.06	25.74	0.00	46.80	166.72
Telephone LATCHKEY	0.00	524.98	641.60	0.00	1,166.58	1,266.64
Internet Service	0.00	511.20	624.80	0.00	1,136.00	866.64
Web-Site - WiX.com	0.00	62.96	76.96	0.00	139.92	139.92
Audit/Acctg. GENERAL	0.00	2,535.04	3,098.32	0.00	5,633.36	5,633.36
Fees & Interest GENERAL	0.00	0.00	0.00	0.00	0.00	50.00
Program Supplies	0.00	1,149.96	2,484.53	0.00	3,634.49	11,000.00
Building Supplies	0.00	271.22	1,125.13	0.00	1,396.35	1,666.64
Field Trips	0.00	744.00	0.00	0.00	744.00	666.64
Directors & Officers Ins.	0.00	502.48	614.08	0.00	1,116.56	1,120.45
Food Expense	0.00	5,837.16	8,747.31	0.00	14,584.47	13,333.36
Employee New Hire	0.00	31.10	15.55	0.00	46.65	500.00
Emp Training YU	0.00	0.00	210.00	0.00	210.00	1,500.00
Outreach-Holiday Parties	0.00	0.00	0.00	0.00	0.00	333.36
Misc Epanse	0.00	0.00	0.00	0.00	0.00	333.36
Consultant Fees	800.00	0.00	0.00	0.00	800.00	100.00
Directors Conf & Training	548.34	0.00	0.00	0.00	548.34	2,333.28
Total Expenses	3,312.27	158,368.73	264,600.44	149.76	426,463.84	490,222.99
Net Income	\$ 9,666.86	\$ 28,990.10	\$ (84,095.84)	\$ (149.76)	\$ (45,621.28)	66,476.29

Bartlett Center
Income Statement - General
For the Eight Months Ending February 28, 2026

Account No.	Current Month Actual	Current Month Budget	Year to Date Actual	Year to Date Budget	Yearly Budget	% of Yearly Budget Used
Revenues						
Misc Trusts & Grants	\$ 0.00	\$ 1,000.00	\$ 10,550.00	\$ 8,000.00	\$ 12,000.00	(87.92)
Fundraising	0.00	83.33	0.00	666.64	1,000.00	0.00
Contributions	(175.06)	416.67	851.84	3,333.36	5,000.00	(17.04)
Investment Income	0.00	16.67	9.98	133.36	200.00	(4.99)
Pending New Grants	0.00	83.33	0.00	666.64	1,000.00	0.00
Gym Rental	0.00	291.67	1,400.00	2,333.36	3,500.00	(40.00)
Discounts/Refunds/Misc Rev	0.00	16.67	167.31	133.36	200.00	(83.66)
Total Revenues	(175.06)	1,908.34	12,979.13	15,266.72	22,900.00	(56.68)
Expenses						
Building Maintenance	0.00	0.00	128.00	0.00	0.00	0.00
Computer, Elect, Maintenance	9.00	125.00	396.98	1,000.00	1,500.00	26.47
Space & Utilities GENERAL	280.69	280.69	1,403.45	2,245.52	3,368.26	41.67
Licenses/Corp Fees	0.00	37.50	35.50	300.00	450.00	7.89
Fees & Interest GENERAL	0.00	0.00	0.00	50.00	50.00	0.00
Misc Expense	0.00	41.67	0.00	333.36	500.00	0.00
Consultant Fees	0.00	0.00	800.00	100.00	100.00	800.00
Directors Conf & Training	0.00	83.33	548.34	666.64	1,000.00	54.83
Total Expenses	289.69	568.19	3,312.27	4,695.52	6,968.26	47.53
Net Income	\$ (464.75)	\$ 1,340.15	\$ 9,666.86	\$ 10,571.20	\$ 15,931.74	(60.68)

For Management Purposes Only

Bartlett Center
Income Statement - Latchkey
For the Eight Months Ending February 28, 2026

	Account No.	Current Month Actual	Current Month Budget	Year to Date Actual	Year to Date Budget	Yearly Budget	% of Yearly Budget Used
Revenues							
United Way Allocation	305019	\$ 0.00	\$ 1,551.00	\$ 9,457.26	\$ 12,408.00	\$ 18,612.00	(50.81)
CDBG	315019	864.83	864.83	6,918.64	6,918.64	10,377.95	(66.67)
Misc Trusts & Grants	315719	1,000.00	4,500.00	54,225.00	36,000.00	54,000.00	(100.42)
SAC After School Grant	319119	0.00	5,816.33	16,434.71	46,530.64	69,796.00	(23.55)
Program Fees-Subsidy YU	320519	80.00	4,881.00	3,810.00	39,048.00	58,572.00	(6.50)
Fundraising	321019	0.00	375.00	0.00	3,000.00	4,500.00	0.00
Youth-MOS	323119	10,769.66	12,738.00	79,031.06	101,904.00	152,856.00	(51.70)
Contributions	330019	3,449.96	833.33	7,482.16	6,666.64	10,000.00	(74.82)
MOSAIC- Youth Support	330119	0.00	0.00	10,000.00	10,000.00	10,000.00	(100.00)
Pending New Grants	361019	0.00	833.33	0.00	6,666.64	10,000.00	0.00
Total Revenues		16,164.45	32,392.82	187,358.83	269,142.56	398,713.95	(46.99)
Expenses							
Salaries--Direct	501019	8,081.70	6,666.67	59,264.87	53,333.36	80,000.00	74.08
Executive-Director-allocated	501119	2,343.60	2,343.75	18,748.80	18,750.00	28,125.00	66.66
Program Director/Allocated	501219	2,409.93	1,833.30	15,978.58	14,666.40	21,999.60	72.63
Assistant ProgDir/ Allocated	501319	0.00	1,583.89	5,383.97	12,671.12	19,006.65	28.33
Bookkeeper / Allocated	501519	924.30	924.30	7,394.40	7,203.60	10,900.80	67.83
Salary Maintenance	502019	1,270.47	1,500.00	9,589.55	11,937.48	17,937.48	53.46
FICA	514019	739.35	946.69	5,520.87	7,573.52	11,360.25	48.60
Allocated Fica LATCHKEY	514119	425.83	611.55	3,555.01	4,892.40	7,338.55	48.44
State Unemployment Tax	517019	51.02	123.75	283.42	990.00	1,485.00	19.09
Alloc. State Unemployment	517119	26.74	79.94	56.96	639.52	959.29	5.94
Workers Compensation	520019	334.65	334.65	2,673.41	2,677.20	4,015.80	66.57
Building Maintenance	570019	728.46	675.00	5,682.84	5,400.00	8,100.00	70.16
Equipment Maintenance	570119	0.00	58.33	654.02	466.64	700.00	93.43
Space & Utilities	570519	1,122.75	1,122.75	5,613.75	8,982.00	13,473.02	41.67
Building Insurance	571019	424.80	424.80	3,379.16	3,398.40	5,097.60	66.29
Equipment Lease/Alarm	600119	0.00	9.38	0.00	75.04	112.50	0.00
Equipment Lease/ Copier R	600519	0.00	116.67	1,084.67	933.36	1,400.00	77.48
Office Exp./Supplies	601019	177.11	168.75	1,313.29	1,350.00	2,025.00	64.85
Postage LATCHKEY	601519	0.00	9.38	21.06	75.04	112.50	18.72
Telephone LATCHKEY	602019	65.71	75.00	524.98	600.00	900.00	58.33
Internet Service	602119	63.90	50.00	511.20	400.00	600.00	85.20
Website Maintenance	602219	7.87	7.87	62.96	62.96	94.45	66.66
Audit/Acctg.	603019	316.88	316.88	2,535.04	2,535.04	3,802.50	66.67
Program Supplies	605019	129.70	583.33	1,149.96	4,666.64	7,000.00	16.43
Building Supplies	605219	60.84	93.75	271.22	750.00	1,125.00	24.11
For Management Purposes Only							

Bartlett Center
Income Statement - Latchkey
For the Eight Months Ending February 28, 2026

	Account No.	Current Month Actual	Current Month Budget	Year to Date Actual	Year to Date Budget	Yearly Budget	% of Yearly Budget Used
Field Trips	606419	0.00	83.33	744.00	666.64	1,000.00	74.40
Directors & Officers Ins.	607019	63.04	63.04	502.48	504.29	756.45	66.43
Food Expense	630019	533.53	416.67	5,837.16	3,333.36	5,000.00	116.74
Employee New Hire	640019	0.00	20.83	31.10	166.64	250.00	12.44
Emp Training YU	649019	0.00	62.50	0.00	500.00	750.00	0.00
Outreach-Holiday Parties	655019	0.00	41.67	0.00	333.36	500.00	0.00
First Aid, CDA	659019	0.00	83.33	0.00	666.64	1,000.00	0.00
Total Expenses		20,302.18	21,431.75	158,368.73	171,200.65	256,927.44	61.64
Net Income		\$ (4,137.73)	\$ 10,961.07	\$ 28,990.10	\$ 97,941.91	\$ 141,786.51	(20.45)

For Management Purposes Only

Bartlett Center
Income Statement - Child Care
For the Eight Months Ending February 28, 2026

	Account No.	Current Month Actual	Current Month Budget	Year to Date Actual	Year to Date Budget	Yearly Budget	% of Yearly Budget Used
Revenues							
United Way Allocation	305024	\$ 0.00	\$ 1,269.00	\$ 7,737.72	\$ 10,152.00	\$ 15,228.00	(50.81)
CDBG	315024	707.59	707.59	5,660.72	5,660.72	8,491.05	(66.67)
Misc'l Trusts & Grants	315724	0.00	4,500.00	52,225.00	36,000.00	54,000.00	(96.71)
Program Fees Subsidy CC	320524	235.00	8,734.00	4,384.00	69,872.00	104,808.00	(4.18)
Fundraising	321024	0.00	375.00	0.00	3,000.00	4,500.00	0.00
Child Care- MOS	323024	12,865.20	15,534.00	92,248.36	124,272.00	186,408.00	(49.49)
Contributions	330024	4,216.60	833.33	8,248.80	6,666.64	10,000.00	(82.49)
MOSAIC - CC	330124	0.00	0.00	10,000.00	10,000.00	10,000.00	(100.00)
Pending New Grants	361024	0.00	833.33	0.00	6,666.64	10,000.00	0.00
Total Revenues		18,024.39	32,786.25	180,504.60	272,290.00	403,435.05	(44.74)
Expenses							
Salaries -- Direct	501024	18,117.08	20,833.33	136,336.37	166,666.64	250,000.00	54.53
Executive Director-allocated	501124	2,864.40	2,864.58	22,915.20	22,916.64	34,375.00	66.66
Program Director/ allocated	501224	2,945.45	2,240.70	19,532.35	17,925.60	26,888.40	72.64
Assistant Prog Dir/Allocated	501324	0.00	1,935.86	6,580.42	15,486.88	23,230.35	28.33
Bookkeeper - Allocated	501524	1,129.70	1,129.70	9,037.60	8,804.38	13,323.18	67.83
Salary Maintenance	502024	1,553.58	1,500.00	11,721.35	11,937.48	17,937.48	65.35
FICA	514024	1,465.56	1,157.06	10,901.20	9,256.48	13,884.75	78.51
Allocated Fica CHILD CARE	514124	520.40	747.45	4,344.90	5,979.60	8,969.34	48.44
State Unemployment Tax CH	517024	101.15	151.25	503.99	1,210.00	1,815.00	27.77
Alloc. State Unemployment	517124	32.72	97.71	69.69	781.68	1,172.46	5.94
Workers Compensation	520024	409.02	409.02	3,267.53	3,272.16	4,908.20	66.57
Building Maintenance	570024	890.34	825.00	6,945.60	6,600.00	9,900.00	70.16
Equipment Maintenance	570124	0.00	66.67	799.34	533.36	800.00	99.92
Space & Utilities CHILD C	570524	1,403.44	1,403.44	7,017.20	11,227.52	16,841.28	41.67
Building Insurance	571024	519.20	519.20	4,130.09	4,153.60	6,230.40	66.29
Equipment Lease/Alarm CHI	600124	0.00	11.46	0.00	91.68	137.50	0.00
Equipment Lease/ Copier C	600524	0.00	141.67	1,325.71	1,133.36	1,700.00	77.98
Office Exp./Supplies CHIL	601024	216.43	206.25	1,507.88	1,650.00	2,475.00	60.92
Postage CHILD CARE	601524	0.00	11.46	25.74	91.68	137.50	18.72
Telephone CHILD CARE	602024	80.30	83.33	641.60	666.64	1,000.00	64.16
Internet Service	602124	78.10	58.33	624.80	466.64	700.00	89.26
Website Maintenance	602224	9.62	9.62	76.96	76.96	115.43	66.67
Audit/Acctg. CHILD CARE	603024	387.29	387.29	3,098.32	3,098.32	4,647.50	66.67
Program Supplies	605024	362.87	791.67	2,484.53	6,333.36	9,500.00	26.15
Building Supplies	605224	74.35	114.58	1,125.13	916.64	1,375.00	81.83
Directors & Officers Ins.	607024	77.04	77.02	614.08	616.16	924.25	66.44

For Management Purposes Only

Bartlett Center
Income Statement - Child Care
For the Eight Months Ending February 28, 2026

Account No.	Current Month Actual	Current Month Budget	Year to Date Actual	Year to Date Budget	Yearly Budget	% of Yearly Budget Used
Food Expense						
630024	1,016.77	1,250.00	8,747.31	10,000.00	15,000.00	58.32
Employee New Hire						
640024	0.00	41.67	15.55	333.36	500.00	3.11
Employee Training CC						
649024	0.00	125.00	210.00	1,000.00	1,500.00	14.00
First Aid, CDA						
659024	0.00	125.00	0.00	1,000.00	1,500.00	0.00
Total Expenses	34,254.81	39,315.32	264,600.44	314,226.82	471,488.02	56.12
Net Income	\$ (16,230.42)	\$ (6,529.07)	\$ (84,095.84)	\$ (41,936.82)	\$ (68,052.97)	(123.57)

For Management Purposes Only

Bartlett Center
Balance Sheet
February 28, 2026

ASSETS

Current Assets		
Petty Cash	\$	0.05
General - Checking		9,967.69
SAVINGS ACCT		751.93
Accounts Receivable		(39,153.28)
Accounts Receivable		37,608.11
Accounts Receivable		41,027.83
Remaining United Way Allocatio		20,060.83
Total Current Assets		70,263.16
Property and Equipment		
Equipment		21,315.33
Equipment		10,891.61
Equipment C.D. Tutoring		1,394.77
Equipment Child Care		19,347.52
EQUIPMENT		7,144.37
Equipment Nutrition		11,465.37
Donated Land		2,250.00
Building		24,743.23
Building. Child Care		2,028.55
Accum. Depre. F&F Equip.		(15,909.00)
Accum. Depre. C.D. Equip.		(9,329.00)
Accum. Depre. Tutoring		(1,394.77)
Accum. Depre. Child Care		(18,487.00)
Accum. Depre. Computer Lab		(7,144.37)
Accum. Depre. Nutrition		(11,459.96)
Accum. Depreciation Building		(7,717.00)
Accum. Depre. Childcare Bld.		(922.00)
ACCUM-AMORT Copier Lease		(6,356.00)
operating lease liability - no		(68,244.52)
Total Property and Equipment		(46,382.87)
Other Assets		
Prepaid Expenses		4,022.70
Prepaid Insurance		6,234.19
Prepaid Rent		2,806.88
Copier Lease Asset		9,079.38
Total Other Assets		22,143.15
Total Assets	\$	46,023.44

LIABILITIES AND CAPITAL

Current Liabilities	
Accounts Payable	\$ 16,758.13
Mo. Withholding Taxes	1,140.00
FICA	33.66
FICA	(328.44)
FICA	(546.14)
State Unemployment Tax	454.32
Payroll Payable/Latchkey	(4,293.37)
Payroll Payroll Child Care	(7,138.98)
Accrued Audit Fees Payable	8,500.00
Accured Exp-UW Pledges	68.00

Unaudited - For Management Purposes Only

Bartlett Center
Balance Sheet
February 28, 2026

AFLAC cafe/Pretax	360.40	
Accrued Emp. Ins. AFLAC	293.68	
	<u> </u>	
Total Current Liabilities		15,301.26
Long-Term Liabilities		
Copier Lease Liability	2,837.90	
	<u> </u>	
Total Long-Term Liabilities		<u>2,837.90</u>
Total Liabilities		18,139.16
Capital		
General Operations	7,601.90	
General Operations	10,472.75	
General Operations	12,797.11	
General Operations	15,512.26	
General Operations	(38,126.01)	
General Operations	2,624.85	
General Operations	38,982.23	
General Operations	30,842.74	
General Operations	(7,202.27)	
Net Income	(45,621.28)	
	<u> </u>	
Total Capital		<u>27,884.28</u>
Total Liabilities & Capital	\$	<u><u>46,023.44</u></u>

BARTLETT CENTER
FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REPORT
JUNE 30, 2025

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Ruthanna Martin, CPA

Amy Hanway, CPA

INDEPENDENT AUDITORS' REPORT

To the Board of Directors of
Bartlett Center

Report on the Audit of Financial Statements

Opinion

We have audited the accompanying financial statements of Bartlett Center (a nonprofit organization), which comprise the statement of financial position as of June 30, 2025, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Bartlett Center as of June 30, 2025, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Bartlett Center and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Substantial Doubt about the Organization's Ability to Continue as a Going Concern

The accompanying financial statements have been prepared assuming that the Organization will continue as a going concern. As discussed in Note 13 to the financial statements, the Organization has suffered significant and unexpected reductions in grant revenues and donations, delays in public funding, and the timing of philanthropic awards and has stated that substantial doubt exists about the Organization's ability to continue as a going concern. Management's evaluation of the events and conditions and management's plans regarding those matters are also described in Note 13. The financial statements do not include any adjustments that might result from the outcome of this uncertainty. Our opinion is not modified with respect to that matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Bartlett Center's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bartlett Center's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Bartlett Center's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Report on Summarized Comparative Information

We have previously audited the Bartlett Center's Fiscal 2024 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated February 6, 2025. In our opinion, the summarized comparative information presented herein as of and for the year ended June 30, 2024, is consistent, in all material respects, with the audited financial statements from which it has been derived.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated February 18, 2026, on our consideration of the Bartlett Center's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Bartlett Center's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Bartlett Center's internal control over financial reporting and compliance.

 CPAs PC
Martin & Hanway CPA's, P.C.
Saint Joseph, Missouri
February 18, 2026

BARTLETT CENTER
STATEMENT OF FINANCIAL POSITION
AS OF JUNE 30, 2025
WITH COMPARATIVE TOTALS AS OF JUNE 30, 2024

ASSETS	<u>2025</u>	<u>2024</u>
Current Assets:		
Cash and Cash Equivalents	\$ 55,108	\$ 72,278
Grants Receivable	21,850	184,006
Accounts Receivable	40,809	117,077
Prepaid Expenses	7,679	3,913
Pledge Receivable	<u>20,061</u>	<u>25,793</u>
Total Current Assets	<u>145,507</u>	<u>403,067</u>
Non-Current Assets:		
Property and Equipment	75,838	71,704
Leasehold Improvements	24,743	24,743
ROU Asset-Copier Lease	9,079	9,079
Accumulated Amortization	(6,356)	(4,540)
Accumulated Depreciation	(72,363)	(66,426)
ROU Asset- Building Lease	<u>97,021</u>	<u>-</u>
Total Non-Current Assets	<u>127,962</u>	<u>34,560</u>
Total Assets	<u>\$ 273,469</u>	<u>\$ 437,627</u>
LIABILITIES AND NET ASSETS		
Current Liabilities:		
Accounts Payable	\$ 8,139	\$ 6,439
Accrued Payroll & Related Liabilities	15,221	14,085
Accrued Audit Fees	8,500	8,450
Accrued Interest on SBA PPP Loans	-	-
ROU Liability-Copier Lease	1,880	1,834
Building Lease Liability	<u>30,525</u>	<u>-</u>
Total Current Liabilities	<u>64,265</u>	<u>30,808</u>
Non-Current Liabilities:		
ROU Liability-Copier Lease	958	2,838
Building Lease Liability	<u>68,245</u>	<u>-</u>
Total Non-Current Liabilities	<u>69,203</u>	<u>2,838</u>
Total Liabilities	133,468	33,646
Net Assets:		
Without Donor Restrictions	119,940	378,188
With Donor Restrictions	<u>20,061</u>	<u>25,793</u>
Total Net Assets	<u>140,001</u>	<u>403,981</u>
Total Liabilities and Net Assets	<u>\$ 273,469</u>	<u>\$ 437,627</u>

BARTLETT CENTER
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2025
WITH COMPARATIVE TOTALS FOR THE YEAR ENDED JUNE 30, 2024

	2025		Totals	
	Without Donor Restrictions	With Donor Restrictions	2025	2024
Revenue, Gains and Other Cash Support:				
Community Development Block Grant	\$ 21,850	\$ -	\$ 21,850	\$ 21,850
United Way Funding	-	37,226	37,226	34,390
Government Grants & Fees	-	-	-	-
Local, State & Federal Grants	131,834	-	131,834	452,969
Contributions	14,489	-	14,489	142,744
Program Fees	228,954	-	228,954	209,992
Gym Rent	1,670	-	1,670	284
Fundraising Income (Less \$0 Costs)	455	-	455	-
Interest Income	31,117	-	31,117	29
Misc. Revenue	40	-	40	132
Gain (Loss) on Property & Equipment	-	-	-	3,059
Other Revenue-PPP Forgiveness	-	-	-	68,348
Net Assets Released From Restrictions:				
Satisfaction of Time Restrictions:				
United Way Funding	42,958	(42,958)	-	-
Total Revenue, Gains and Other Cash Support	473,367	(5,732)	467,635	933,797
Contributions Of Nonfinancial Assets	2,250	-	2,250	-
Total Revenue, Gains and Other Support	475,617	(5,732)	469,885	933,797
Expenses:				
Program Services:				
Child Care	371,699	-	371,699	468,746
Youth	180,740	-	180,740	186,348
Total Program Services	552,439	-	552,439	655,094
Support Services:				
Management and General	165,615	-	165,615	170,966
Fundraising	15,811	-	15,811	16,619
Total Support Services	181,426	-	181,426	187,585
Total Expenses	733,865	-	733,865	842,679
Changes in Net Assets	(258,248)	(5,732)	(263,980)	91,118
Net Assets, Beginning of Year	378,188	25,793	403,981	312,863
Net Assets, End of Year	\$ 119,940	\$ 20,061	\$ 140,001	\$ 403,981

BARTLETT CENTER
STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED JUNE 30, 2025
WITH COMPARATIVE TOTALS FOR THE YEAR ENDED JUNE 30, 2024

	Program Services		Support Services		
	Child Care	Youth	Management & General		Fundraising
			\$	\$	\$
Salaries	\$ 272,500	\$ 103,388	\$ 145,537	\$ 14,687	2024 Total
Employee Benefits & Taxes	27,504	12,051	11,133	1,124	\$ 628,730
Occupancy:					56,597
Building Maintenance	10,666	7,848	713	-	18,990
Building Supplies	1,299	644	-	-	2,091
Insurance	5,892	4,821	-	-	10,713
Lease Expense	18,861	15,431	-	-	34,292
Depreciation & Amortization	1,774	1,198	4,781	-	7,753
Program Supplies	6,907	12,513	-	-	19,420
Food Expense	14,541	7,381	-	-	21,922
Office and Administrative:					22,335
Office Expense	820	671	-	-	1,491
Audit & Professional Fees	4,675	3,825	-	-	8,500
Telephone	1,943	1,590	-	-	3,533
Supplies	2,456	2,286	-	-	4,742
Website Maintenance	115	95	-	-	210
License	-	-	436	-	436
Interest Expense	-	-	99	-	99
Consulting Fees	-	-	800	-	800
Miscellaneous Expense	-	2,172	634	-	2,806
Conference & Training	1,746	4,826	1,482	-	8,054
Total Expenses	\$ 371,699	\$ 180,740	\$ 165,615	\$ 15,811	\$ 733,865
					\$ 842,679

The accompanying notes to financial statements are an integral part of these statements.

BARTLETT CENTER
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED JUNE 30, 2025
WITH COMPARATIVE TOTALS FOR THE YEAR ENDED JUNE 30, 2024

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in Net Assets	\$ (263,980)	\$ 91,118
Adjustments to Reconcile Changes in Net Assets to Net Cash Provided By (Used In) Operating Activities:		
Depreciation and Amortization	7,753	37,408
(Gain) Loss on Disposal of Property and Equipment	-	(3,059)
Non-Cash Contribution	(2,250)	-
Decrease (Increase) in Accounts Receivable	76,268	(92,158)
Decrease (Increase) in Grants Receivable	162,156	(39,815)
Decrease (Increase) in Pledge Receivable	5,732	(5,005)
Decrease (Increase) in Prepaid Expenses	(3,766)	(355)
Decrease (Increase) in ROU Asset-Building Lease	(97,021)	-
Increase (Decrease) in Accounts Payable	1,700	(5,767)
Increase (Decrease) in Accrued Payroll & Related Liabilities	1,136	(704)
Increase (Decrease) in Accrued Audit Fees	50	-
Increase (Decrease) in Accrued Interest on SBA PPP Loans	-	(1,984)
Increase (Decrease) in Building Lease Liability	98,770	-
SBA PPP Loans Forgiven	-	(66,364)
Net Cash Provided By (Used In) Operating Activities	<u>(13,452)</u>	<u>(86,685)</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Non-Cash Contribution	2,250	-
Proceeds from Sale of Property and Equipment	-	7,931
Purchases of Property and Equipment	(4,134)	(24,936)
Net Cash Provided By (Used In) Investing Activities	<u>(1,884)</u>	<u>(17,005)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Copier Lease Payments	(1,834)	(1,788)
Buiding Lease Payments	-	(31,021)
Net Cash Provided By (Used In) Financing Activities	<u>(1,834)</u>	<u>(32,809)</u>
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(17,170)	(136,499)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	<u>72,278</u>	<u>208,777</u>
CASH AND CASH EQUIVALENTS, END OF YEAR	<u>\$ 55,108</u>	<u>\$ 72,278</u>

Interest expense of \$99 for FY 2025 and \$787 for FY 2024 is included in the Change in Net Assets from operations. \$99 was paid for interest for FY 2025 and \$787 was paid for FY 2024.

There are \$2,250 noncash investing transactions for FY 2025 and FY 2024.

Non-Cash donations of \$2,250 and \$0 for FY 2025 and FY 2024 years, respectively are included in the purchases of property and equipment amount.

For the purpose of the Statement of Cash Flows, the Center considers all demand accounts and investments with an initial maturity of three months or less to be cash equivalents.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Nature of Activities

The Bartlett Center (the Center) is a nonprofit organization formed in 1972 to serve economically disadvantaged individuals in St. Joseph, Missouri. The Center's mission is to provide families and individuals with positive and inspiring resource programs that generate profitable returns for their local community and greater St. Joseph. Programs provided by the Center include Youth After-School and Summer Program and Child Care. The Center's primary sources of revenues are from the City of St. Joseph, Buchanan County, Federal and State grants and contracts and contributions from companies and individuals.

Basis of Accounting

The financial statements of the Center have been prepared on the accrual basis of accounting and accordingly reflect all significant receivables, payables and other liabilities.

Property and Equipment

Purchased property and equipment are recorded at cost. Donated property and equipment are recorded at their fair market value at the time of donation. Property and equipment with a useful life of more than one year are capitalized. Depreciation on property and equipment is provided over the estimated useful life of each class of depreciable asset and is computed using the straight-line method. Leasehold improvements are depreciated over the remaining non-cancelable lease term. As required by grant program requirements, equipment purchased with Federal or State monies is recorded as an expenditure when incurred. At the grant year-end, these Federal and State expenditures are added to the Center's property and equipment account. All property and equipment acquired with government funds are subject to various restrictions as to use and disposition. The copier lease is amortized over the life of the lease. Estimated useful lives of the assets are as follows:

Furniture, Fixture & Equipment & Leasehold Improv.	3, 5, 7, 10, 25 Years
Copier Lease	5 Years
Land	NDA

Allowance for Uncollectible Accounts

Receivables consist primarily of amounts due from the City of St. Joseph, Missouri and Department of Social Services.

The Center uses the specific write-off method to provide for doubtful accounts since experience and management's estimation indicates an adequate allowance for such accounts is immaterial.

Contributions

All contributions are considered to be available for unrestricted use unless specifically restricted by the donor or by law. Amounts received which are designated for future periods or restricted by the donor for specific purposes are reported as with donor

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

restrictions and increases in that net asset class. When a restriction is fulfilled in the same time period in which the contribution is received, the Center reports the support as restricted and provides information regarding the amount of support which has satisfied the restricted requirements.

Basis of Presentation

The financial statements are presented in accordance with Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") 958-205, Not-for-Profit Entities, Presentation of Financial Statements. During fiscal 2019, the Center started following the provisions of Accounting Standards Update ("ASU") 2016-14: *Not-for-Profit-Entities (Topic 958) Presentation of Financial Statements of Not-for-Profit Entities*, which improves the current net asset classification and the related information presented in the financial statements and notes about the Center's liquidity, financial performance, and cash flows.

Inventory

The Center has no inventory reflected in the financial statements, since the amount is immaterial.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of revenue, expenses, gains, losses, and other changes in net assets during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

For the purpose of the statement of cash flows, the Center considers all demand accounts and investments with an initial maturity of three months or less to be cash equivalents.

Income Taxes

The Center has been designated as a tax-exempt organization operated for charitable purposes pursuant to Internal Revenue Code (IRC) Section 501(c) (3). The Center is not a private foundation pursuant to IRC Section 509 (a) (1). There was no unrelated business income for fiscal 2025 or 2024. Accordingly, no provision for income tax expense or excise tax expense has been made.

FASB ASC 740-10, Accounting for Uncertainty in Income Taxes, provides that an organization must recognize the tax benefit associated with tax taken for tax return purposes when it is more likely than not the position will be sustained. For the years ended June 30, 2025 and 2024, the Center recorded no liabilities for unrecognized tax positions, interest or penalties in its financial statements. The Federal Form 990 for the fiscal years ended June 30, 2022 and thereafter remains subject to examination by the Internal Revenue Service. As of the date of this report, the Center's return for the fiscal year ended June 30, 2025 has not yet been filed.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Compensated Absences

Employees of the Center are entitled to paid vacation and paid sick days, depending on job classification, length of service and other factors. Any unused compensated absences at employee separation is not paid out and therefore, there is no compensated absences presented in these statements. The Center's policy is to recognize the costs of compensated absences when actually paid to employees.

Functional Allocation of Expenses

The cost of providing the various programs and activities of the Center has been summarized on a functional basis in the Statement of Activities. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Direct program costs are charged directly to program cost accounts. Certain categories of expenses are attributed to more than one functional category. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. General overhead type expenses are allocated to program expense accounts based on factors such as a time study of salary costs of administrative personnel and building space utilization for each program.

Promises to Give

Contributions are recognized when the donor makes a promise to give to the Center that is, in substance, unconditional.

Contributed Services

In accordance with ASC 958-605 the fair value of donated services are recognized if the services either create or enhance a non-financial asset or require specialized skills, are provided by entities or persons possessing those skills, and would need to be purchased if they were not donated.

Many individuals volunteer their time and perform a variety of tasks that assist the Organization, including board member services, but these services do not meet the criteria for recognition as contributed services.

Prior-Year Comparative Information

The financial statements include certain prior-year summarized comparative information in total but not by net asset class. Such information does not include sufficient detail to constitute a presentation in conformity with generally accepted accounting principles. Accordingly, such information should be read in conjunction with the Center's financial statements for the year ended June 30, 2024, from which the summarized information was derived.

Employee Retention Credit

The Employee Retention Credit (ERC) is a refundable credit against certain payroll taxes allowed to an eligible employer for qualifying wages that was established by the *Coronavirus Aid, Relief, and Economic Security Act* ("CARES Act") and further amended by the *Consolidated Appropriations Act (CAA)* and the *American Rescue Plan (ARP)*. The Center met the ERC's eligibility requirements and considers these payments

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

as a conditional grant. Accordingly, the Center had recorded the grant in the statement of activities as Government Grants & Fees for the year ended June 30, 2022. The ERC was received in fiscal 2025.

Description of Programs

The Center operates the following programs:

Youth After-School and Summer Program

Provides children in the Mid-City Neighborhood Strategy Area who need a safe haven as an alternative to being left unattended with nothing to do during the summer months and at the end of the school day with a place to go and many activities to participate in.

Child Care

Provides care for children from infant through preschool. The Center provides affordable child care in a safe, healthy and secure environment that develops the social, emotional, creative and cognitive skills of each child regardless of the family's income level and work schedule.

Paycheck Protection Program

During fiscal year 2021, the Center received proceeds under the Paycheck Protection Program "PPP" administered by a Small Business Administration (SBA) approved partner. Established as part of the *Coronavirus Aid, Relief and Economic Security Act* ("*CARES Act*"), the PPP provided for forgivable loans to qualifying organizations as long as the organization maintained its payroll levels and used the proceeds for eligible purposes, including payroll, benefits, rent, and utilities, over a "covered period" (eight or 24 weeks). Up to 100% of a loan was forgivable. The forgiveness amount would be reduced if the organization terminated employees or reduced salaries during the covered period. Any unforgiven portion of a PPP loan is payable over two or five years at an interest rate of 1%, with a deferral of payments for 10 months after the end of the covered period. The loan was forgiven in fiscal year 2024. See Note 10.

Leases

The Center is a lessee in multiple operating leases. If the contract provides the Center the right to substantially all the economic benefits and the right to direct the use of the identified asset, it is considered to be or contain a lease. Right-of-use (ROU) assets and lease liabilities are recognized at the lease commencement date based on the present value of the future lease payments over the expected lease term. ROU assets are also adjusted for any lease prepayments made, lease incentives received, and initial direct costs incurred.

Lease liabilities are initially and subsequently recognized based on the present value of their future lease payments. Variable payments are included in the future lease payments when those variable payments depend on an index or a rate. Increases (decreases) to variable lease payments due to subsequent changes in an index or rate are recorded as variable lease expense (income) in the future period in which they are incurred.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

ROU assets for operating leases are subsequently measured throughout the lease term at the amount of the remeasured lease liability (i.e., present value of the remaining lease payments), plus unamortized initial direct costs, plus (minus) any prepaid (accrued) lease payments, less the unamortized balance of lease incentives received, and any impairment recognized.

Operating leases with fluctuating lease payments: For operating leases with lease payments that fluctuate over the lease term, the total lease costs are recognized on a straight-line basis over the lease term.

The Center has elected the short-term lease exemption for all leases with a term of 12 months or less for both existing and ongoing operating leases to not recognize the asset and liability for these leases. Lease payments for short-term leases are recognized on straight-line basis.

The Center has elected to use the practical expedient to not separate lease and non-lease components for the copier and building leases.

The Center has elected the option to use the risk-free rate determined using a period comparable to the lease terms as the discount rate for leases where the implicit rate is not readily determinable. The risk-free rate option has been applied to the copier and building leases.

Right-of-use assets and liabilities as of June 30, 2025 and 2024 are presented as separate line items on the Center's statement of financial position.

Contributed Nonfinancial Assets

Donated land is recorded as a contribution at the fair market value at the date of donation. The Center reports the donation in the net assets without donor restrictions category, unless explicit donor stipulations specify how the donated assets must be used. Gifts of long-lived assets with explicit restrictions that specify how the assets must be used, and gifts of cash or other assets that must be used to acquire long-lived assets are reported in the net assets with donor-restrictions category. Per FASB ASU 2016-14 and absent explicit donor stipulations about how long those long-lived assets must be maintained, the Center reports expirations of donor restrictions when the donated or acquired long-lived assets are placed in service.

Accounting Pronouncements Adopted

In FY 2022, the Center adopted the provisions of FASB ASU 2016-02, *Leases* (Topic 842). This ASU requires that a lease liability and related right-of-use (ROU) asset representing the lessee's right to use or control the asset be recorded upon the commencement of all leases except for short-term leases. ROU assets and lease liabilities are recognized based on the present value of the future lease payments over the expected lease term. Leases will be classified as either finance leases or operating leases, which are substantially similar to the classification criteria for distinguishing between capital leases and operating in existing lease accounting guidance. ROU assets for finance leases

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Concluded)

are amortized on a straight-line basis over the lease term. For operating leases with and without lease payments that fluctuate over the lease term, the total lease costs are recognized on a straight-line basis over the lease term. ROU assets are discounted at the present value, which is determined at a long-term risk-free discount rate (long-term US Treasury rate).

The Center has elected to not separate lease components from the non-lease components. The ASU has not been applied retrospectively.

Leases (Topic 842) Discount Rate for Lessees That Are Not Public Business Entities (ASU-2021-09) - Topic 842 currently provides lessees that are not public business entities with a practical expedient that allows them to elect, as an accounting policy, to use a risk-free rate as the discount rate for all leases. The amendments in this Update allow those lessees to make the risk-free rate election by class of underlying asset, rather than at the entity-wide level. An entity that makes the risk-free rate election is required to disclose which asset classes it has elected to apply a risk-free rate. The amendments require that when the rate implicit in the lease is readily determinable for any individual lease, the lessee use that rate (rather than a risk-free rate or an incremental borrowing rate), regardless of whether it has made the risk-free rate election. Entities that have not yet adopted Topic 842 as of November 11, 2021, are required to adopt the amendments in this Update at the same time that they adopt Topic 842. The Center had adopted the provisions of FASB ASC 842 in FY 2022 and has elected to use the risk-free rate for its copier and building leases.

The Center adopted the provisions of FASB ASU 2020-07, *Not-for-Profit Entities (Topic 958) Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets*. The amendments in this Update apply to nonprofit organizations that receive contributed nonfinancial assets (also referred to as gifts-in-kind) and address presentation and disclosure of those contributed nonfinancial assets. The term "nonfinancial assets" includes fixed assets (such as land, buildings, and equipment), use of fixed assets or utilities, materials and supplies, intangible assets, cryptocurrency, services, and unconditional promises of those assets. Under ASU 2020-07, organizations must present gifts-in-kind as a separate line item in the statement of activities, apart from gifts of cash and other financial assets. In addition to this presentation requirement, the gifts-in-kind must be further broken down into categories (fixed assets, supplies, contributed services, etc.) in the notes to the financial statements. For each category of contributed nonfinancial assets recognized in the financial statements, further footnote disclosures are required under the ASU, including whether the gifts-in-kind were sold or used, among other disclosures. The provisions of ASU 2020-07 must be applied on a retrospective basis (meaning that all periods presented in comparative financial statements must reflect the requirements of the new standard). Adoption of this standard had no effect on its net assets.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 2: LIQUIDITY AND AVAILABILITY OF FUNDS

The Center's financial assets available for general expenditures, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, are as follows:

	<u>2025</u>	<u>2024</u>
Cash and Cash Equivalents	\$ 55,108	\$ 72,278
Grants Receivable	21,850	184,006
Accounts Receivable	40,809	117,077
Pledge Receivable	<u>20,061</u>	<u>25,793</u>
Total Financial Assets Available Within One Year	<u>\$137,828</u>	<u>\$399,154</u>

The Center has structured its financial assets to be available as its general expenditures, liabilities and other obligations come due. Time related restrictions associated with pledge receivable of \$20,061 and \$25,793 at June 30, 2025 and 2024, respectively, have not been included as restrictions imposed on financial assets as the amounts are expected to be collected within one year.

In addition to financial assets available to meet general expenditures over the next 12 months, the Organization operates with a balanced budget and anticipates collecting sufficient revenue to cover general expenditures not covered by donor-restricted resources. See Note 13.

NOTE 3: GRANTS RECEIVABLE

At June 30, 2022, the Center recorded in its financial statements \$140,549 due from the Internal Revenue Service for filing Forms 941-X, Adjusted Employer's Quarterly Federal Tax Return or Claim for Refund for Quarters 1, 2 & 3 of 2021, in order to receive amounts to which it believed it was entitled under the ERC, which is a refundable credit against certain payroll taxes allowed to an eligible employer for qualifying wages, that was established by the *Coronavirus Aid, Relief, and Economic Security ("CARES Act")* and further amended by the *Consolidated Appropriations Act (CAA)* and the *American Rescue Plan (ARP)*. Laws and regulations concerning government programs, including the ERC are complex and subject to varying interpretations. Claims made under the CARES Act may also be subject to retroactive audit and review. There can be no assurance that regulatory authorities will not challenge the Center's claim to the ERC and it is not possible to determine the impact, if any, this would have upon the Center. The ERC amount was received in full in fiscal 2025, along with the respective interest.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 4: PLEDGE RECEIVABLE

Unconditional promises to give at June 30, 2025 and 2024 are as follows:

	<u>2025</u>	<u>2024</u>
Receivable in less than one year	\$20,061	\$25,793
Receivable in one to five years	<u>-</u>	<u>-</u>
Total	<u>\$20,061</u>	<u>\$25,793</u>

Promises to give consist of allocations from United Way for 2025 and 2024 for future time periods. Differences between the amounts allocated and collected from United Way have historically been insignificant. Accordingly, no provision was made for uncollectable amounts. United Way typically awards future allocations for the next calendar year end, but it did not for calendar 2025 or 2026. Promises to give have been valued at the face amount of the allocation.

NOTE 5: PROPERTY AND EQUIPMENT

Property and equipment consist of the following:

	<u>6-30-24</u>	<u>Additions</u>	<u>Deletions</u>	<u>6-30-25</u>
Furniture and Fixtures	\$ 20,307	\$ 1,007	\$ -	\$ 21,314
Land	-	2,250	-	2,250
Leasehold Improvements	24,743	-	-	24,743
Copier Lease	9,079	-	-	9,079
Equipment - Youth	11,409	877	-	12,286
Equipment - Child Care	21,377	-	-	21,377
Equipment - Computer Lab	7,146	-	-	7,146
Equipment - Kitchen	11,465	-	-	11,465
Total	105,526	4,134	-	109,660
Accumulated Amortization	(4,540)	(1,816)	-	(6,356)
Accumulated Depreciation	(66,426)	(5,937)	-	(72,363)
Total	<u>\$ 34,560</u>	<u>\$(3,619)</u>	<u>\$ -</u>	<u>\$ 30,941</u>

Depreciation and amortization expense for the year ended June 30, 2025 was \$7,753 and depreciation and amortization expense for the year ended June 30, 2024 was \$37,408.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 6: NET ASSETS WITH DONOR RESTRICTIONS

The Center's net assets with donor restrictions are subject to the following purposes or periods.

Subject to Time Restrictions:	<u>2025</u>	<u>2024</u>
United Way-Allocation for the next year	<u>\$20,061</u>	<u>\$25,793</u>
Total Time Restrictions	<u>\$20,061</u>	<u>\$25,793</u>
 Total Net Assets with Donor Restrictions	 <u>\$20,061</u>	 <u>\$25,793</u>

Net Assets were released from Donor restrictions during 2025 and 2024 by satisfying the restricted purposes as follows:

	<u>2025</u>	<u>2024</u>
Expiration of time restrictions – United Way	<u>\$42,958</u>	<u>\$29,385</u>

NOTE 7: LEASES

Copier Lease

On October 28, 2021, the Center entered into a 60 month lease agreement with XEROX, for a copier requiring lease payments of \$160.80 beginning on January 1, 2022. A 2.5% discount rate is used. The agreement is a non-cancellable agreement.

	<u>FY 2025</u>	
<u>Lease Cost</u>		
Operating lease cost		\$ 2,894.40
 <u>Cash Flow Items</u>		
Cash paid for amounts included in the measurement of lease liabilities		
Operating cash flows from operating leases		\$ 1,833.72
 Right-of-use assets obtained in exchange for lease liabilities		
Operating lease		\$ 2,837.90
 Weighted-average remaining lease term in years- Operating lease		1.50
 Weighted-average discount rate		2.50%

	<u>FY 2024</u>	
<u>Lease Cost</u>		
Operating lease cost		\$ 4,824.00
 <u>Cash Flow Items</u>		
Cash paid for amounts included in the measurement of lease liabilities		
Operating cash flows from operating leases		\$ 1,788.49
 Right-of-use assets obtained in exchange for lease liabilities		
Operating lease		\$ 4,671.62

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 7: LEASES (Continued)

Weighted-average remaining lease term in years- Operating lease	2.50
Weighted-average discount rate	2.50%

Building Lease

On June 21, 2019 a lease agreement was signed with the City of St. Joseph where the Center leased certain designated space and facilities in the Horace Mann Community Center from July 1, 2019 through June 30, 2024. A 2.5% discount rate is used. The lease can be canceled by either party with ninety days written notice.

	<u>FY 2025</u>
<u>Lease Cost</u>	
Operating lease cost	\$ -
<u>Cash Flow Items</u>	
Cash paid for amounts included in the measurement of lease liabilities	
Operating cash flows from operating leases	\$ -
Right-of-use assets obtained in exchange for lease liabilities	
Operating lease	\$ -
Weighted-average remaining lease term in years- Operating lease	0.00
Weighted-average discount rate	2.50%

	<u>FY 2024</u>
<u>Lease Cost</u>	
Operating lease cost	\$ -
<u>Cash Flow Items</u>	
Cash paid for amounts included in the measurement of lease liabilities	
Operating cash flows from operating leases	\$ 31,021.29
Right-of-use assets obtained in exchange for lease liabilities	
Operating lease	\$ -
Weighted-average remaining lease term in years- Operating lease	0.00
Weighted-average discount rate	2.50%

Building Lease

A lease agreement was signed with the City of St. Joseph where the Center leased certain designated space and facilities in the Horace Mann Community Center from July 1, 2024 through June 30, 2028. A 3.72% discount rate is used. The lease can be canceled by either party with ninety days written notice.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 7: LEASES (Continued)

	<u>FY 2025</u>
<u>Lease Cost</u>	
Operating lease cost	\$102,876.84
<u>Cash Flow Items</u>	
Cash paid for amounts included in the measurement of lease liabilities	
Operating cash flows from operating leases	\$ 30,438.55
Right-of-use assets obtained in exchange for lease liabilities	
Operating lease	\$ 97,021.06
Weighted-average remaining lease term in years- Operating lease	3.00
Weighted-average discount rate	3.72%

<u>Future Minimum Lease Payments FY 2025</u>	
June 30,	<u>Total</u>
2026	\$ 36,221.88
2027	35,257.08
2028	34,292.28
Total lease payments	<u>\$105,771.24</u>

<u>Reconciliation Lease Liabilities</u>	
	<u>Total</u>
Copier Lease	\$ 2,837.90
Building Lease	98,769.82
Total lease payments	<u>\$101,607.72</u>

<u>Reconciliation ROU Assets</u>	
	<u>Total</u>
Copier Lease	\$ 2,723.00
Building Lease	97,021.06
Total lease payments	<u>\$99,744.06</u>

<u>Future Minimum Lease Payments FY 2024</u>	
June 30,	<u>Total</u>
2025	\$1,929.60
2026	1,929.60
2027	964.80
Total lease payments	<u>\$4,824.00</u>

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 7: LEASES (Concluded)

Reconciliation Lease Liabilities

	<u>Total</u>
Copier Lease	<u>\$4,671.62</u>
Total lease payments	<u>\$4,671.62</u>

Reconciliation ROU Assets

	<u>Total</u>
Copier Lease	<u>\$4,539.00</u>
Total lease payments	<u>\$4,539.00</u>

NOTE 8: CONTINGENCIES

Litigation- At June 30, 2025, there was no pending or threatened litigation against the Center.

Grant Program- The Center participates in numerous state and federal grant programs, which are governed by various rules and regulations of the grantor agencies. Costs charged to the respective grant programs are subject to audit and adjustment by the grantor agencies. If the Center has not complied with the rules and regulations governing grants, refunds of any money received may be required. In the opinion of the Center, there are no significant contingent liabilities relating to compliance with the rules and regulations governing the respective grants.

NOTE 9: CONCENTRATIONS

The Center has received a substantial amount of its support from United Way, the City of St. Joseph, Department of Social Services and other state and federal grants or contracts. A significant reduction in the level of these supports would have a significant effect on the Center's programs and activities.

NOTE 10: PPP LOANS

On July 20, 2020, the Center received a loan in the amount of \$66,364.00 to fund payroll, rent, utilities, and interest on mortgages and existing debt through the federal Paycheck Protection Program. The Center had initially recorded the loan as long-term debt and added accrued interest and has recorded the forgiveness in accordance with guidance for FASB Accounting Standards Codification (ASC) Topic 470, *Debt* and reclassified the amount forgiven to other income upon legal release by the lender. The loan and accrued interest were forgiven on June 4, 2024. Therefore, the Center had recognized \$68,348 as other revenue for the year ended June 30, 2024, which represents 100% of the loan proceeds plus accrued interest.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 11: REVENUE RECOGNITION

Revenue from Exchange Transactions: The Organization recognizes revenue in accordance with Financial Accounting Standards Board (FASB) Accounting Standards Update (ASU) 2014-09, Revenue from Contracts with Customers, as amended. ASU 2014-09 applies to exchange transactions with customers that are bound by contracts or similar arrangements and establishes a performance obligation approach to revenue recognition. The Organization records the following exchange transaction revenue in its statement of activities for the years ending June 30, 2025 and 2024.

Program Service Fees - The Organization conducts program-related experiences for Youth and Childcare where the performance obligation is delivery of the program or meals. Fees for tuition and meals are set by the Organization and/or the MO Department of Social Services. Fees for Childcare and Youth include keeping a child in the program. The Organization recognizes revenue on the accrual basis. No liability for probable customer returns are considered necessary as of June 30, 2025 and 2024. No amounts are deferred as of June 30, 2025 and 2024.

Disaggregation of Revenue from Contracts with Customers: The following table disaggregates the Center's revenues based on the timing of satisfaction of performance obligations for the years ended June 30:

	<u>2025</u>	<u>2024</u>
Performance obligations satisfied at a point in time	\$ -	\$ -
Performance obligations satisfied over time	<u>228,954</u>	<u>209,992</u>
	<u>\$ 228,954</u>	<u>\$ 209,992</u>

Revenue from performance obligations satisfied over time consists of program service fees.

NOTE 12: CONTRIBUTED NONFINANCIAL ASSETS

For the years ended June 30, 2025 and 2024, donated items recorded in the financial statements as in-kind contributions totaled \$2,250 and \$- respectively.

Contributed nonfinancial assets consist of the following:

<u>Year Ended June 30,</u>	<u>2025</u>	<u>2024</u>
Land	<u>\$ 2,250.00</u>	<u>\$ -</u>
Total contributed nonfinancial assets	<u>\$ 2,250.00</u>	<u>\$ -</u>

The Center recognizes contributed nonfinancial assets within revenue, including land. Unless otherwise noted, contributed nonfinancial assets did not have donor-imposed restrictions.

In valuing the land, the Center estimates the fair value on the basis of estimates of values that would be received for selling similar land in the United States.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13: GOING CONCERN

There is substantial doubt about the entity's ability to continue as a going concern. The Center has suffered significant and unexpected reductions in grant revenues and donations, delays in public funding and the timing of philanthropic awards. In particular, the Center experienced:

- Prolonged delays in the receipt of Community Development Block Grant (CDBG) reimbursements from the City of St. Joseph, which created a multi-month cash flow disruption;
- A temporary freeze and restructuring of Missouri child care stabilization and subsidy funding; and
- A highly competitive philanthropic environment, resulting in longer award cycles for major funders such as United Way and foundations.

These events occurred concurrently and were outside of management's control, resulting in short-term liquidity stress rather than a structural failure of the organization's programs or demand for services.

Management has evaluated the Center's financial condition and believes that the going concern uncertainty reflects a temporary cash flow crisis driven by external funding delays and public-sector disruptions, rather than a decline in organizational viability, service demand, or community support.

Bartlett Center continues to experience strong enrollment in childcare and after-school programs, high community utilization, and ongoing partnerships with schools, families, and local agencies. The organization's core programs remain operational, mission-critical, and in demand.

The primary financial challenge has been timing, like the mismatch between when expenses must be paid and when government reimbursements and philanthropic awards are received. Management does not believe this reflects an inability of the Center to operate in the long term, but rather a liquidity issue caused by extraordinary funding interruptions.

Management has implemented and is actively executing a multi-pronged financial stabilization and revenue recovery plan designed to alleviate the going concern uncertainty, including:

1) Recovery of delayed public funding

The Center is actively working with the City to finalize and receive delayed CDBG reimbursements and other contracted public funds that were outstanding for multiple months. These funds represent earned revenue that will significantly improve cash flow once received.

BARTLETT CENTER
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025

NOTE 13: GOING CONCERN (Concluded)

2) Securing philanthropic awards

The Center has active applications under review with United Way and other foundations, with funding decisions expected in early 2026. These grants are intended to stabilize operations, fund core programming, and rebuild financial reserves.

3) Board-approved financial restructuring

Management is working with the Board of Directors to finalize a sustainable repayment and cost-containment plan that aligns expenses with current revenue realities while maintaining program quality and staffing stability.

4) Expansion of earned revenue

The Center is strengthening its fee-based childcare, preschool, and after-school enrollment, which provides recurring monthly revenue. Demand for these services remains strong in the community.

5) Fundraising and community campaigns

Management is launching targeted donor outreach, sponsorships, and fundraising events, including a 2026 gala and community-based campaigns, to diversify revenue and reduce dependence on any single funding source.

6) Grant diversification strategy

The organization is pursuing new corporate, foundation, and government grants focused on youth development, workforce development, and childcare stabilization to create a more resilient funding mix.

Management believes that these actions, taken together, will generate sufficient revenue and liquidity to allow Bartlett Center to continue operating and fulfill its mission.

NOTE 14: SUBSEQUENT EVENTS

The Center has evaluated and determined that there are no subsequent events as of February 18, 2026, which is when the financial statements are available to be issued.

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INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Board of Directors of
Bartlett Center

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Bartlett Center (a nonprofit organization), which comprise the statement of financial position as of June 30, 2025, and the related statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the financial statements, and have issued our report thereon dated February 18, 2026.

Report On Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Bartlett Center's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Bartlett Center's internal control. Accordingly, we do not express an opinion on the effectiveness of the Organization's internal control.

A deficiency in internal control exists when the design or operation of a control^s does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of the internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified a certain deficiency in internal

control, described in the accompanying schedule of findings and responses as item 2025-1 that we consider to be a significant deficiency.

Report On Compliance and Other Matters

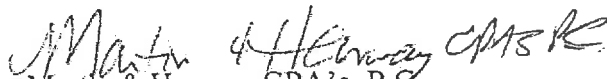
As part of obtaining reasonable assurance about whether Bartlett Center's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Bartlett Center's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on Bartlett Center's response to the findings identified in our audit and described in the accompanying schedule of findings and responses. Bartlett Center's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Organization's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.


Martin & Hanway CPA's, P.C.
Saint Joseph, Missouri
February 18, 2026

BARTLETT CENTER
Schedule of Findings and Responses
For the Year Ended June 30, 2025

Findings-Financial Statement Audit

2025-1 Segregation of Duties

Condition: The bookkeeper is responsible for opening mail, recording receipts, recording journal entries, payroll, accounts payable, making deposits, bank reconciliations and all financial reporting and monitoring tasks.

Criteria: Internal controls should be in place that provide for adequate segregation of duties so as to provide reasonable assurance that errors and irregularities that may occur are detected in a timely manner.

Cause: The size of the Center's accounting staff precludes certain internal controls that would be preferred if staff were large enough to provide optimum segregation of duties.

Effect: A concentration of duties does not provide the checks and balances of multiple people involved in accounting functions, increasing the chance that errors and irregularities may occur and not be detected in a timely manner.

Recommendation: Continued involvement of the Board is important. Review and approval of invoices for items purchased by the person receiving the merchandise can add to controls.

Response: The Board of Directors are more actively involved in the daily progress of the programs. Board Members are involved in committees to assist with the procedures and help in segregation of duties. We continue to involve the Board of Directors in all areas of the Bartlett Center's policies and procedures, along with our mission statement. This will provide more efficient checks and balances as we move forward. When items are purchased for a program, the receipt is signed by the person receiving the merchandise, then turned over to the accounting department.

All major purchases are okayed by the Executive Director; purchases over \$1,000 are required to have Board approval. All bills have a process that must be followed. When an item is purchased, the Program Director or Executive Director, will provide the Bookkeeper with an "approved for payment invoice". No bill is paid without previous approval receipt or invoice. Twice monthly the bills and current payroll time cards are given to the Executive Director, with payment preview paperwork, before checks are written. Once approval is obtained, the checks are issued and are returned to the Executive Director for signature along with one other signature. Checks are returned to the Bookkeeper to be distributed to employees and bills are mailed. In addition, bank reconciliations and bank statements are reviewed monthly by the Board Treasurer.